

Business Responsibility & Sustainability Report

SECTION A: GENERAL DISCLOSURE

I. Details of the Listed Entity

1. Corporate Identity Number (CIN) of the Listed Entity	L17124MP1947PLC000410
2. Name of the Listed Entity	Grasim Industries Limited ('Grasim')
3. Year of incorporation	1947
4. Registered office address	Birlagram, Nagda – 456 331, Madhya Pradesh, India
5. Corporate address	Aditya Birla Centre, 'A' Wing, 2 nd Floor, S. K. Ahire Marg, Worli, Mumbai – 400 030, Maharashtra, India
6. E-mail	grasim.secretarial@adityabirla.com
7. Telephone	+91 22 6652 5000, +91 22 2499 5000
8. Website	https://www.grasim.com
9. Financial year for which reporting is being done	1 st April 2024 to 31 st March 2025
10. Name of the Stock Exchange(s) where shares are listed	1. BSE Limited 2. National Stock Exchange of India Limited 3. Luxembourg Stock Exchange
11. Paid-up Capital	₹136.11 crore
12. Contact Person	
Name of the Person	Mr. Surya Valluri (Chief Sustainability Officer)
Telephone	+91 22 2499 5000
Email address	surya.valluri@adityabirla.com
13. Reporting Boundary	
Are the disclosures under this report made on a standalone basis (i.e. only for the entity) or on a consolidated basis (i.e. for the entity and all the entities which form a part of its consolidated financial statements, taken together).	The disclosures in this report cover the standalone operations of Grasim Industries Limited. However, for Principle 6, we have considered only the operating plants and excluded data pertaining to offices. For the Paints Business, three manufacturing plants have been included within the reporting boundary for Principle 6.
14. Name of assessment or assurance provider	BDO India LLP
15. Type of assessment or assurance obtained	BRSR Core Indicators - Reasonable Assurance; Selected BRSR Indicators - Limited Assurance For the detailed Assurance Report please refer to pg. no. 198

II. Product/Services

16. Details of business activities (accounting for 90% of the turnover):

S. No.	Description of Main Activity	Description of Business Activity	% Turnover of the Entity
1	Manufacturing	Cellulosic Fibres and Yarns	50%
2	Manufacturing	Chemical and Allied Chemicals	27%
3	Manufacturing and Trading	Building Materials (Paints & B2B E-commerce)	17%

17. Products/Services sold by the entity (accounting for 90% of the entity's turnover):

S. No.	Product/Service	NIC Code	% of Total Turnover Contributed
1	Cellulosic Fibres and Yarns	2030	50%
2	Chemicals and Allied Chemicals	2011	27%
3	Building Materials (Paints & B2B E-commerce)	2022, 4690	17%



III. Operations

18. Number of locations where plants and/or operations/offices of the entity are situated:

Location	Number of plants	Number of offices	Total
National	27	224*	251
International	-	-	-

There are one or more plants at a single geographical location.

*Includes R&D facilities, warehouses, depots, offices and studios.

19. Markets served by the entity:

a. Number of locations							
	<table> <tr> <th>Locations</th><th>Number</th></tr> <tr> <td>National (No. of States)</td><td>28 States & 8 Union Territories</td></tr> <tr> <td>International (No. of Countries)</td><td>79</td></tr> </table>	Locations	Number	National (No. of States)	28 States & 8 Union Territories	International (No. of Countries)	79
Locations	Number						
National (No. of States)	28 States & 8 Union Territories						
International (No. of Countries)	79						
b. What is the contribution of exports as a percentage of the total turnover of the entity?	8% of the total operating revenue of the Company.						
c. A brief on types of customers	Cellulosic Fibres – The customer base for Cellulosic Fibres includes all partners within the textiles value chain. Cellulosic Staple Fibre is supplied to yarn manufacturers for the conversion of fibre into yarn, while weaving mills convert yarn into fabrics and eventually used for garment manufacturing. Chemicals – Our Chlor-Alkali business caters to a wide range of applications, such as the production of aluminium, pulp and paper, soaps, detergents, cellulosic fibres, Zeolites, food additives, textile processing, and more. The business primarily serves industrial sectors (B2B) that are diverse and critical. Our Specialty Chemicals (epoxy polymers and curing agents) division produces products which are used in various industries such as windmill blades, auto segments, paints, construction, coating, composite, and electrical applications, among others, and cater to different touchpoints across the value chain. Building Materials – This segment includes two businesses i.e. Paints and B2B E-commerce. We manufacture, trade, and sell a wide range of paints, coatings, and wallcoverings. Our products serve a diverse customer base, including homeowners, large project developers, dealers, businesses, architects, interior designers, contractors, and influencers. We reach our customers through a large network of dealers, contractors, and online platforms. Our B2B E-commerce platform serves a diverse customer base, empowering MSMEs to effortlessly source construction materials such as steel, cement, chemicals, plywood, doors, bathware, etc. from a wide range of brands. We simplify purchasing process by offering competitive pricing, assured quality, assured quantity and financing solutions. Others – Our Textiles division serves partners across the textile value chain and retail consumers, offering products through wholesale and retail channels across three key categories: linen, wool, and cotton fabrics. Our Insulators Business caters to a diverse customer base by producing the widest range of electrical insulators in India, including those for transmission lines and substation up to 1200 kV. We serve utilities and infrastructure developers, ensuring reliable and high-quality solutions for their needs.						

IV. Employees

20. Details as at the end of Financial Year:

a. Employees and workers (including differently abled)*:

S. No.	Particulars	Total (A)	Male		Female	
			No. (B)	% (B/A)	No. (C)	% (C/A)
Employees						
1	Permanent (D)	11,812	10,695	91	1,117	9
2	Other than Permanent (E)	1,787	1,663	93	124	7
3	Total Employees (D+E)	13,599	12,358	91	1,241	9
Workers						
4	Permanent (F)	15,515	15,376	99	139	1
5	Other than Permanent (G)	17,908	17,387	97	521	3
6	Total Workers (F+G)	33,423	32,763	98	660	2

*Limited assurance has been carried out by BDO India LLP for FY 2024-25.

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b. Differently abled employees and workers*

S. No.	Particulars	Total (A)	Male		Female	
			No. (B)	% (B/A)	No. (C)	% (C/A)
Differently abled Employees						
1	Permanent (D)	8	8	100	-	-
2	Other than Permanent (E)	-	-	-	-	-
3	Total (D+E)	8	8	100	-	-
Differently abled Workers						
4	Permanent (F)	48	48	100	-	-
5	Other than Permanent (G)	3	3	100	-	-
6	Total (F+G)	51	51	100	-	-

*Limited assurance has been carried out by BDO India LLP for FY 2024-25.

21. Participation/Inclusion/Representation of women*:

Category	Total (A)	No. and % of females	
		No. (B)	% (B/A)
Board of Directors	14	3	21
Key Management Personnel	3	-	-

*Limited assurance has been carried out by BDO India LLP for FY 2024-25.

22. Turnover rate for permanent employees and workers:

Category	FY 2024-25			FY 2023-24			FY 2022-23		
	Male	Female	Total	Male	Female	Total	Male	Female	Total
Permanent Employees	14%	19%	15%	12%	16%	12%	13%	18%	14%
Permanent Workers	5%	4%	5%	5%	3%	4%	4%	18%	4%

V. Holding, Subsidiary and Associate Companies (including joint ventures)

23. (a) Names of holding/ subsidiary / associate companies / joint ventures

S. No.	Name of the holding / subsidiary / associate companies / joint ventures (A)	Indicate whether it is a holding / Subsidiary / Associate / or Joint Venture	% of shares held by listed entity	Does the entity indicated at column A, participate in the Business Responsibility initiatives of the listed entity? (Yes/ No)
1.	UltraTech Cement Limited*	Subsidiary	56.11	No
2.	Aditya Birla Capital Limited*	Subsidiary	52.54	No
3.	Aditya Birla Renewables Limited	Subsidiary	100.00	No

*UltraTech Cement Limited and Aditya Birla Capital Limited and their subsidiaries, associate companies and joint ventures follow their individual business responsibility initiatives.

Please refer to page no. 457 for the list of subsidiaries, associate companies, and joint ventures.



VI. CSR Details

24.	(i) Whether CSR is applicable as per section 135 of Companies Act, 2013:	Yes
	(ii) Turnover (in ₹)	31,563 crore
	(iii) Net worth (in ₹)	54,398 crore

VII. Transparency and Disclosures Compliances

25. Complaints/Grievances on any of the principles (Principles 1 to 9) under the National Guidelines on Responsible Business Conduct:

Stakeholder group from whom complaint is received	Grievance Redressal Mechanism in Place (Yes/No) (If Yes, then provide web-link for grievance redress policy)	FY 2024-25			FY 2023-24		
		Number of complaints filed during the year	Number of complaints pending resolution at close of the year	Remarks	Number of complaints filed during the year	Number of complaints pending resolution at close of the year	Remarks
Communities	Yes	Nil	Nil	-	Nil	Nil	-
Investors (other than shareholders)	Yes	Nil	Nil	-	Nil	Nil	-
Shareholders	Yes	78	3	-	70	Nil	-
Employees and workers	Yes	12	2	-	7	Nil	-
Customers	Yes	5,345	2,265	-	773	132	-
Value Chain Partners	Yes	Nil	Nil	-	113	Nil	-
Others* (Whistle-Blower)	Yes	5	Nil	-	4	1	-

Note: The grievance redressal policy is available on the Company's website under the Corporate Governance & Policies and Code of Conduct section, and can be accessed at: <https://www.grasim.com/Upload/PDF/grasim-grievance-handlingpolicy-fy21.pdf>

*In some whistle-blower cases, the identity is unknown, and they may belong to any of the above stakeholder groups.

26. Overview of the entity's material responsible business conduct issues

S. No.	Material Issue Identified	Indicate whether risk or opportunity	Rationale for identifying the risk/opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity
1.	Energy Consumption and GHG Emissions	Risk	Surging energy costs, supply chain disruptions, and stringent emission regulations pose substantial risks, leading to operational and financial setbacks that affect profitability and compliance with evolving standards.	Grasim is improving operations by prioritising energy efficiency and renewable energy adoption to ensure continuity and transition to a sustainable, low-carbon model. Investments in energy-saving technologies and renewables aim to reduce emissions, lower costs, and strengthen resilience while attracting environmentally conscious investors.	Negative

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S. No.	Material Issue Identified	Indicate whether risk or opportunity	Rationale for identifying the risk/ opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity
2.	Responsible Supply Chain	Risk	Supply chain is a material area of risk as expectations around ESG accountability from customers and regulators continue to grow. Disruptions may arise due to challenges in meeting evolving legal requirements, social or environmental concerns at supplier sites, or sourcing uncertainties. These can affect continuity, increase operational costs, and expose the business to reputational and compliance-related pressures.	Grasim has enhanced its supply chain by adopting responsible sourcing practices and sourcing from accredited vendors. The Company favours local suppliers, supporting community growth and advancing sustainable practices, reinforcing its environmental and social responsibility.	Negative
3.	Climate Change Adaptation	Risk	The challenges of global warming necessitate adaptive measures that can significantly impact Grasim's operations. Extreme weather events such as floods, storms, and droughts pose risks to supply chains, infrastructure, and machinery, leading to higher operational costs. Anticipated regulatory changes further increase the risk of non-compliance, affecting business continuity. While Grasim is transitioning to a low-carbon model and investing in green technologies, climate change remains a material risk with implications for cost, compliance, and operational resilience.	Grasim recognised the risks posed by climate change and has taken steps to strengthen the resilience of its business model. The Company has integrated the Task Force on Climate-related Financial Disclosures (TCFD) into its risk management framework to evaluate physical and transition risks. It has also secured insurance coverage to safeguard against potential financial impacts from climate-related events.	Negative
4.	Waste Management	Risk	Inadequate waste management poses significant risks to Grasim, including environmental degradation, regulatory non-compliance, and reputational harm. Improper disposal can lead to pollution, legal penalties, and operational disruptions. As environmental regulations tighten and stakeholder expectations increase, ineffective waste practices may impact business continuity and long-term performance.	Grasim is strengthening waste management by minimising waste generation and improving recycling and disposal practices. It ensures segregation at source, adopts circular economy principles, and works with authorised agencies in line with Central and State Pollution Control Boards directives. Investments in advanced technologies and process improvements support greater efficiency and help mitigate environmental impact.	Negative
5.	Product Stewardship	Opportunity	Product stewardship presents an opportunity for Grasim to deliver resource-efficient, socially responsible products. Managing the product life cycle, from design to disposal, helps meet regulatory expectations, build consumer trust, and reduce environmental impact - strengthening Grasim's position as a responsible brand.	Grasim uses Life Cycle Assessment to manage risks in manufacturing and disposal. A closed-loop system enables by-product reuse, improving efficiency and reducing waste. Product safety is ensured through secure handling and transport, supporting environmental protection and stakeholder trust.	Positive



S. No.	Material Issue Identified	Indicate whether risk or opportunity	Rationale for identifying the risk/opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity
6.	Human Rights	Risk	Human rights risks are relevant to Grasim due to its extensive supply chain and labour-intensive operations. Disregarding human rights standards can lead to reputational damage, legal consequences, and business disruptions. Ensuring ethical practices and respect for human rights is critical to maintaining operational continuity and stakeholder confidence.	Human rights risks are relevant to Grasim due to its extensive supply chain and labour-intensive operations. Disregarding human rights standards can lead to reputational damage, legal consequences, and business disruptions. Ensuring ethical practices and respect for human rights is critical to maintaining operational continuity and stakeholder confidence.	Negative
7.	Water and Effluents	Risk	A consistent and high-quality water supply is essential for uninterrupted operations at Grasim. Water scarcity can disrupt processes, increase raw material costs, and raise health and safety concerns for employees and nearby residents. Competing for water with local communities may also affect the Company's ability to continue operating in certain regions.	Grasim is enhancing its water management strategy through reduced water consumption and increased recycling. It continues to invest in new technologies and upgrades to existing systems. The installation of Zero Liquid Discharge (ZLD) plants at manufacturing sites is part of the Company's ongoing efforts to conserve water and reduce dependency on freshwater sources.	Negative
8.	Innovation and R&D	Opportunity	Innovation and R&D offer Grasim the opportunity to enhance its technological capabilities, respond to evolving market needs, and expand into new business areas. These efforts also support the development of sustainable solutions, green technologies, and resource-efficient practices that contribute to long-term growth and environmental progress.	Grasim invests in R&D to remain competitive and future-ready. Initiatives include the development of resource-efficient solutions and the use of Industry 4.0 technologies in the Paints business for smart manufacturing. These efforts enable growth, reduce emissions, and support sustainable value creation.	Positive
9.	Resource Efficiency	Opportunity	Resource efficiency is a key opportunity for Grasim to optimise the use of energy, water, and raw materials across its operations. Efficient resource management supports better operational performance, cost reduction, and lower environmental impact. It also aligns with Grasim's sustainability goals and strengthens its competitive position by promoting responsible consumption.	Resource efficiency presents a strategic opportunity for Grasim to optimise resource use, and lower operational costs. The Company has set measurable goals to enhance performance across key resource areas, supporting lean operations and sustainable growth. These efforts also contribute to stronger brand value and stakeholder confidence.	Positive
10.	Occupational Health and Safety	Risk	The nature of Grasim's manufacturing operations make occupational health and safety a key area of risk. Equipment malfunction or human error, especially in chemical handling, can lead to safety concerns. Continuous investment in training and safer processes is essential to maintaining a secure and well-managed work environment.	Grasim is reinforcing workplace safety through regular audits, awareness programs, and customised training modules. The adoption of SA 8000 standards has strengthened its safety framework and employee well-being efforts. The Company has also established 'Life Saving Rules' and role-based training to ensure consistent safety practices. Insurance coverage is in place to support employees in the event of workplace incidents.	Negative

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SECTION B: MANAGEMENT AND PROCESS DISCLOSURES

Disclosure Questions		P1	P2	P3	P4	P5	P6	P7	P8	P9
Policy and Management Processes										
1	a. Whether your entity's policy/policies cover each principle and its core elements of the NGRBCs. (Yes/ No)	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
	b. Has the policy been approved by the Board? (Yes/ No)	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
	c. Web Link of the Policies, if available	Yes. In compliance with the relevant governing regulations, we have made all necessary policies available on our website. These documents are readily available to everyone via the link provided below. https://www.grasim.com/investors/policies-and-code-of-conduct								
2	Whether the entity has translated the policy into procedures. (Yes / No)	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
3	Do the enlisted policies extend to your value chain partners? (Yes/No)	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
4	Name of the national and international codes/certifications/labels/ standards (e.g., Forest Stewardship Council, Fairtrade, Rainforest Alliance, Trustea) (e.g., SA 8000, OHSAS, ISO, BIS) adopted by your entity and mapped to each principle.	Grasim aligns with various global and national certifications, standards, and codes that reflect the BRSR principles, which are essential for steering our business towards sustainable growth, as indicated below: Principle 1: IR framework, ISAE3000 Principle 2: FSC®, PEFC™, GOTS, OCS, GRS, RCS, RAF, OEKO-TEX®, Better Cotton Initiatives (BCI), REACH, Higg Index, ISO 9001, ISO 14001, ISO 14040/44, ISO 17025, ISO 50001, EcoVadis Principle 3: SA 8000, ISO 45001 Principle 4: IR framework, SA 8000 Principle 5: SA 8000 Principle 6: GRI Standards, ISO 14001, ISO 50001, FSC®, PEFC™, GOTS, OCS, RAF, OEKO-TEX, BCI, Higg Index, REACH, ZDHC, regenagri Principle 7: IR framework, GRI standards Principle 8: SA 8000, ISO 26000 Principle 9: ISO 22301, ISO 27001 In addition, Grasim actively reports on climate change, water security and forest related issues through its disclosures to the CDP as well as on environment, social and governance through the Dow Jones Sustainability Index (DJSI) Corporate Sustainability Assessment (CSA).								
5	Specific commitments, goals and targets set by the entity with defined timelines, if any.	Grasim has established a target to reach net zero emissions by 2050, aligning with global initiatives to mitigate the impacts of climate change. Additionally, Grasim has established specific targets for a range of sustainability-related KPIs to ensure comprehensive progress towards its overarching sustainability goals. Please refer to the Sustainability Framework section page no. 110 for the Company's goals and targets.								
6	Performance of the entity against the specific commitments, goals and targets along-with reasons in case the same are not met.	Grasim has established a comprehensive array of sustainability objectives and has formulated strategic plans and a detailed roadmap to accomplish these goals. The progress towards these targets can be tracked within the sustainability framework outlined on page no. 110 of the report.								
Governance, Leadership and Oversight										
7	Statement by director responsible for the business responsibility report, highlighting ESG related challenges, targets, and achievements.	Please refer to the message from the Managing Director on page no. 12 and Sustainability framework on page no. 110 of the report.								
8	Details of the highest authority responsible for implementation and oversight of the Business Responsibility policy (ies).	Mr. Himanshu Kapania, Managing Director								
9	Does the entity have a specified Committee of the Board/ Director responsible for decision making on sustainability related issues? (Yes / No). If yes, provide details.	Yes, the Risk Management and Sustainability Committee is tasked with overseeing the Company's sustainability related issues, sustainability strategy, and the outcomes of its execution. The committee regularly reviews the progress of sustainability projects, taking into account key performance indicators, and periodically develops appropriate action plans to ensure that the set targets are achieved. For more details, please refer to the page no. 272 of the Corporate Governance Report.								

**10. Details of Review of NGRBCs by the Company:**

Subject for Review	Indicate whether review was undertaken by Director/ Committee of the Board/ Any other Committee									Frequency (Annually/ Half yearly/ Quarterly/ Any other – please specify)								
	P 1	P 2	P 3	P 4	P 5	P 6	P 7	P 8	P 9	P 1	P 2	P 3	P 4	P 5	P 6	P 7	P 8	P 9
Performance against above policies and follow up action	Sustainability principles at Grasim are overseen by the Board through their appointed Audit Committee, Risk Management & Sustainability Committee, and Corporate Social Responsibility Committee.									Reviews are scheduled at least once in a quarter. Furthermore, additional reviews are conducted on an ongoing basis.								
Compliance with statutory requirements of relevance to the principles, and rectification of any non-compliances	Compliance with statutory requirements at Grasim are overseen by the Board through their appointed Audit Committee.									Reviews are scheduled at least once in a quarter.								

11. Has the entity carried out independent assessment/ evaluation of the working of its policies by an external agency? (Yes/No). If yes, provide name of the agency.

P1	P2	P3	P4	P5	P6	P7	P8	P9
No								

12. If answer to question (1) above is "No" i.e., not all Principles are covered by a policy, reasons to be stated:

	P 1	P 2	P 3	P 4	P 5	P 6	P 7	P 8	P 9
The entity does not consider the Principles material to its business (Yes/No)	Not Applicable								
The entity is not at a stage where it is able to formulate and implement the policies on specified principles (Yes/No)									
The entity does not have the financial or/human and technical resources available for the task (Yes/No)									
It is planned to be done in the next financial year (Yes/No)									
Any other reason (please specify)									

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SECTION C: PRINCIPLE WISE PERFORMANCE DISCLOSURE

PRINCIPLE 1: Businesses should conduct and govern themselves with integrity, and in a manner that is ethical, transparent and accountable



Grasim's business operations are conducted with a focus on the well-being of society and the environment, with sustainability embedded in its strategic and operational plans. For Grasim, conducting business with integrity, transparency, and accountability is essential as it supports the Company's reputation, ensures statutory obligations, and enables fair competition. These practices are key to managing risks effectively, engaging stakeholders, and securing a competitive advantage, which in turn positions Grasim favourably in a market that increasingly values responsible corporate behaviour and aligns with the broader objectives of ESG criteria. By treating all stakeholders equitably and addressing conflicts of interest involving members, employees, and business partners, Grasim maintains ethical standards and reinforces its stance on sustainable and responsible business practices.

ESSENTIAL INDICATORS

1. Percentage coverage by training and awareness programmes on any of the Principles during the financial year:

Segment	Total number of training and awareness programmes held	Topics/principles covered under the training and its impact	%age of persons in respective category covered by the awareness programmes
Board of Directors	7	1. Risk Management Framework 2. Code of Conduct and Ethics 3. Awareness on Regulatory Updates 4. Insider Trading 5. Prevention of Sexual Harassment (POSH) 6. Awareness on Whistle Blower 7. Environment, Health and Safety	100%
Key Managerial Personnel	11	1. Risk Management Framework 2. Code of Conduct and Ethics 3. Awareness on Regulatory Updates 4. Anti-Corruption and Anti-Bribery 5. Prevention on Money Laundering 6. Compliance relating to Sanctions 7. Insider Trading 8. Prevention of Sexual Harassment (POSH) 9. Awareness on Whistle Blower 10. Know Your Customer 11. Environment, Health and Safety	100%
Employees other than BoDs and KMPs	4,519	1. Code of Conduct Training 2. Insider Trading Awareness 3. Anti-Corruption and Anti-Bribery 4. Governance and Compliance 5. Grievance Redressal 6. Risk Management Framework 7. Social Issues and Human Rights 8. Prevention of Sexual Harassment (POSH) 9. Diversity, Equity and Inclusion (DEI) 10. Stakeholder Engagement 11. Behavioural Training 12. Cyber Security Awareness 13. Artificial Intelligence 14. Ethics in AI	92%



Segment	Total number of training and awareness programmes held	Topics/principles covered under the training and its impact	%age of persons in respective category covered by the awareness programmes
		15. Sustainability Awareness 16. Biodiversity Conservation 17. Sustainable Supply C 17. Sustainable Supply Chain 18. Water, Effluent and Waste Management 19. Energy, Emissions and Climate Change 20. Health and Safety 21. Occupational Health and Wellness 22. Skill Development and Upgradation	
Workers	1,213	1. Human Rights Trainings 2. POSH Trainings 3. Grievance Handling 4. Code of Conduct 5. Sustainability Awareness 6. Skill Upgradation Trainings 7. Health and Safety Trainings 8. Toolbox Trainings	100%

2. Details of fines / penalties /punishment/ award/ compounding fees/ settlement amount paid in proceedings (by the entity or by directors / KMPs) with regulators/ law enforcement agencies/ judicial institutions, in the financial year:

During FY2024-25 based on materiality threshold as detailed in Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, no material fines/ penalties/ punishment/ award/ compounding fees/ settlement amount was paid in proceedings (by the entity or by its directors/ KMPs) with regulators/ law enforcement agencies/ judicial institutions.

However, following are the events disclosed to the stock exchanges, without any application of guidelines for materiality, under Regulation 30 read with Para A of Part A of Schedule III to the SEBI (Listing Obligations and Disclosure Requirements) Regulation 2015.

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Monetary				
NGRBC Principle	Name of the regulatory/enforcement agencies/judicial institutions	Amount (In ₹)	Brief of the Case	Has an appeal been preferred? (Yes/No)
Penalty/ Fine	P2	8,90,060	Levy of penalty u/s 129 (1) (a) of Central Goods and Service Tax Act, 2017 and Gujarat Goods and Service Tax Act 2017. Alleged discrepancies in e-waybill related compliances	Yes
		4,54,880	Levy of penalty u/s 129 of Central Goods and Services Tax Act, 2017 and Tamil Nadu Goods and Services Tax Act, 2017. Alleged discrepancies in e-waybill related compliances	
		20,71,660	Levy of penalty u/s 129(1)(a) of Central Goods and Services Tax Act, 2017 and Tamil Nadu Goods and Services Tax Act, 2017. Alleged discrepancies in e-waybill related compliances	
		1,80,868	Levy of penalty u/s 129(1)(a) of Central Goods and Services Tax Act, 2017 and Integrated Goods and Service Tax Act, 2017. Alleged discrepancies in e-waybill related compliances	
		7,82,095	Levy of penalty under Section 129 (1) (a) of the Central Goods and Services Tax Act, 2017 read with Karnataka Goods and Services Tax Act, 2017. Alleged discrepancies in e-waybill related compliances	
		17,408	Recovery of CENVAT Credit under Rule 14 of CENVAT Credit Rule 2004. Penalty has been imposed under rule 15 of CENVAT Credit Rules 2004. Applicable Interest under section 11A of Central Excise Act, 1944. Alleged discrepancies in e-waybill related compliances	No
		1,000	Levy of penalty u/s 125 of Central Goods and Service Tax Act 2017 and Tamil Nadu Goods and Service Tax Act 2017. Alleged discrepancies in e-waybill related compliances	
		23,497	Denial and recovery of Input Tax Credit availed on cancelled GST Registration under section 74 of Central Goods and Services Tax Act, 2017 of 12,16,477/- (including interest thereon and levy of penalty @ 25% on tax). Alleged discrepancies in e-waybill related compliances	
		50,000	Levy of penalty under Section 129 (1) (a) of the Central Goods and Services Tax Act, 2017 read with Chhattisgarh Goods and Services Tax Act, 2017. Alleged discrepancies in e-waybill related compliances	
		20,000	Levy of penalty under Integrated Goods and Services Tax Act, 2017 Alleged claim of ineligible Input Tax Credit distributed by Input Service Distributor related to FY 2020-21. Alleged discrepancies in e-waybill related compliances	
		31,089	Levy of penalty under Section 129 (1) (a) of the Central Goods and Services Tax Act, 2017 read with Karnataka Goods and Services Tax Act, 2017. Alleged discrepancies in e-waybill related compliances	



Monetary					
	NGRBC Principle	Name of the regulatory/ enforcement agencies/ judicial institutions	Amount (In ₹)	Brief of the Case	Has an appeal been preferred? (Yes/No)
Penalty/ Fine	P3	Employee Provident Fund Organisation, Ranchi, Jharkhand	2,56,99,858	Penalty was imposed vide order dated 01.10.2024, for non-compliance of the Employee Provident fund Act.	Yes
		Food Safety and Standards Authority of India	22,600	Delay in payment of annual returns.	No
Penalty/ Fine	P6	The Madhya Pradesh Electricity Regulatory Commission, Bhopal, Madhya Pradesh	1,10,000	Penalty was imposed due to shortfall in meeting Renewable Purchase Obligation targets	No
		Central Ground Water Authority	2,00,000	Penalty paid due to delay in installation of flow meter.	
Penalty/ Fine	P9	Department of Legal Metrology, Karnataka	15,000	Product labeling infractions	No
Settlement	P2	Office of the Superintendent, Central GST & Central Excise, Ganjam, Odisha	2,12,450	Denial of partial Transitional Input Tax Credit under Central Goods and Services Tax Act, 2017 of ₹2,12,450/- (plus the interest thereon) and levy of penalty of similar amount	No
Compounding fee	P3	Labour Court, Godhra, Gujarat	25,000	A compounding fee was paid in relation to a safety incident resulting from a worker's fall. The matter was settled through compounding on 26.06.2024	No
		Labour Court, Godhra, Gujarat	75,000	A compounding fee was paid arising out of an safety incident resulting from a worker's fall at insulator plant. Matter was compounded on 26.06.2024.	
		Chief Judicial Magistrate, Hooghly, West Bengal	60,000	A compounding fee was paid arising out of incident pertaining to FY 2011-12 with regards to a fatal accident involving a contract worker who was working on an asbestos sheet. The manufacturing has fully compensated worker's family.	
Non-Monetary					
	NGRBC Principle	Name of the regulatory / enforcement agencies / judicial institutions	Brief of the Case		Has an appeal been preferred? (Yes/No)
Imprisonment			Nil		
Punishment			Nil		

Business Responsibility & Sustainability Report (Contd.)

3. Of the instances disclosed in Question 2 above, details of the Appeal/ Revision preferred in cases where monetary or non-monetary action has been appealed.

Case Details	Name of the regulatory/ enforcement agencies/ judicial institutions
Levy of penalty under Section 129 (1) (a) of the Central Goods and Services Tax Act, 2017, amounting to ₹7,82,095 due to discrepancies in e-waybill.	Office of the Commercial Tax Officer, Hubballi, Karnataka
Delay in depositing the Provident Fund accumulations with the EPFO.	Employee Provident Fund Organisation, Ranchi, Jharkhand
Levy of penalty u/s 129 (1) (a) of Central Goods and Service Tax Act, 2017 and Gujarat Goods and Service Tax Act 2017, amounting to ₹8,90,060 due to discrepancies in e-waybill.	Office of The Deputy Commissioner of State Tax (Enforcement), Surat, Gujarat
Levy of penalty u/s 129 of Central Goods and Services Tax Act, 2017 and Tamil Nadu Goods and Services Tax Act, 2017 amounting to ₹4,54,880 due to discrepancies in e-waybill.	Office of Commercial Taxes Department, Vellore, Tamil Nadu
Levy of penalty u/s 129(1)(a) of Central Goods and Services Tax Act, 2017 and Tamil Nadu Goods and Services Tax Act, 2017 amounting to ₹20,71,660 due to discrepancies in e-waybill.	Office of the Joint Commissioner (ST), Chengalpattu, Tamil Nadu
Levy of penalty u/s 129(1)(a) of Central Goods and Services Tax Act, 2017 and Integrated Goods and Service Tax Act, 2017 amounting to ₹1,80,868 due to discrepancies in e-waybill.	Office of Assistant Commissioner, Noida, Uttar Pradesh

4. Does the entity have an anti-corruption or anti-bribery policy? If yes, provide details in brief and if available, provide a web-link to the policy.

Yes, Grasim upholds an Anti-Corruption and Anti-Bribery Policy that ensures ethical conduct and enforces a zero-tolerance stance on bribery and corruption. The policy sets forth appropriate guidelines to prevent any violations of relevant laws and regulations across all operations. It applies to all stakeholders including employees and associates, as well as third parties acting on behalf of the Company, prohibiting any form of bribery or corrupt practices.

The policy can be accessed through this web link: <https://www.grasim.com/Upload/PDF/anti-corruption-and-anti-bribery.pdf>

5. Number of Directors/KMPs/employees/workers against whom disciplinary action was taken by any law enforcement agency for charges of bribery/corruption:

Category	FY 2024-25	FY 2023-24
Directors	Nil	Nil
KMPs	Nil	Nil
Employees	Nil	Nil
Workers	Nil	Nil

6. Details of complaints with regards to conflict of interest:

	FY 2024-25		FY 2023-24	
	Number	Remarks	Number	Remarks
Number of complaints received in relation to issues of Conflict of Interest of the Directors	Nil	-	Nil	-
Number of complaints received in relation to issues of Conflict of Interest of the KMPs	Nil	-	Nil	-

7. Provide details of any corrective action taken or underway on issues related to fines / penalties / action taken by regulators/ law enforcement agencies/ judicial institutions, on cases of corruption and conflicts of interest.

Not applicable.

8. Number of days of accounts payables ((Accounts payable *365) / Cost of goods/services procured) in the following format:

	FY 2024-25	FY 2023-24
Number of days of accounts payables*	61	91

*Reasonable assurance has been carried out by BDO India LLP for FY 2024-25.



9. Open-ness of business*

Provide details of concentration of purchases and sales with trading houses, dealers, and related parties along-with loans and advances & investments, with related parties:

Parameters	Metrics	FY 2024-25	FY 2023-24
Concentration of Purchases	a. Purchases from trading houses as % of total purchases	25%	14%
	b. Number of trading houses where purchases are made from	5,699	4,446
	c. Purchases from top 10 trading houses as % of total purchases from trading houses	31%	45%
Concentration of Sales	a. Sales to dealers / distributors as % of total sales	27%	13%
	b. Number of dealers / distributors to whom sales are made	40,261	2,410
	c. Sales to top 10 dealers/ distributors as % of total sales to dealers / distributors	20%	23%
Share of RPTs in	a. Purchases (Purchases with related parties / Total Purchases)	9%	13%
	b. Sales (Sales to related parties / Total Sales)	0.17%	0.20%
	c. Loans & advances (Loans & advances given to related parties / Total loans & advances)	90%	94%
	d. Investments (Investments in related parties / Total Investments made)	59%	59%

*Reasonable assurance has been carried out by BDO India LLP for FY 2024-25.

Note against purchase from trading houses: The classification of trading house is done as per the SEBI circular dated 20 Dec 2024, where the definition of trading houses is provided by ISF.

Note against concentration of sales: The increase in the % is due to the addition of Paints business, which is primarily through dealer and distributors.

LEADERSHIP INDICATORS

1. Awareness programmes conducted for value chain partners on any of the Principles during the financial year:

Total number of awareness programmes held	Topics / principles covered under the training	%age of value chain partners covered (by value of business done with such partners) under the awareness programmes
15	Energy and Carbon Policy Water Stewardship Human Rights Non-discrimination Zero Tolerance Prevention of Sexual Harassment (POSH) Health and Safety Freedom of Association and Collective Bargaining Product Quality Food Safety SA8000 Statutory Compliance	3%

2. Does the entity have processes in place to avoid/ manage conflict of interests involving members of the Board? (Yes/No) If Yes, provide details of the same.

Yes, the Company has established a Code of Conduct encompassing the Board and Senior Management. At the start of each fiscal year, Board Members and Key Managerial Personnel (KMPs) renew their adherence to this Code of Conduct. When faced with significant decisions, Board members must confirm that they hold no personal interest in any major financial or business transactions that could be potentially seen as a conflict of interest. Should such conflicts emerge, the Directors abstain from participating in discussions or decision-making processes during Board or Committee Meetings on matters where they have a personal or perceived interest.

Business Responsibility & Sustainability Report (Contd.)

PRINCIPLE 2: Businesses should provide goods and services in a manner that is sustainable and safe



We aim to supply products and services that prioritise safety, sustainability, and resource efficiency, focusing on reducing our impact on the environment and adapting to our customers' changing needs. From design to the final disposal, we ensure that sustainable production and consumption are key considerations, employing practices that lead to the creation of green products. Our practices are guided by the principles of circularity, ensuring that products and materials are reused and recycled to extend their lifespan and reduce waste. Our R&D efforts play a crucial role, as we continuously seek to develop eco-friendly products and solutions. Moreover, we actively share detailed information with our value chain partners, enabling informed decisions and collaborative advancement towards sustainability.

ESSENTIAL INDICATORS

1. **Percentage of R&D and capital expenditure (capex) investments in specific technologies to improve the environmental and social impacts of product and processes to total R&D and capex investments made by the entity, respectively.**

	FY 2024-25	FY 2023-24	Details of improvement in environmental and social impacts
Research & Development (R&D)	20%	37%	We are developing cost-effective and sustainable pulp alternatives derived from agri-residues, textile waste, veneer waste, and more. In the Chemicals business, we are developing safer, more sustainable solutions for potable water, including demonstrating the use of High Strength Bleaching Powder (HSBP) technology for both swimming pools and drinking water sanitation. In Specialty Chemicals, new product development is focused on bio-based products. In addition, we are prioritising green and solvent-free processes and chemistries, along with innovations that enhance recyclability and circularity of materials.
Capital Expenditure (CAPEX)	7%	10%	We are investing in technologies to improve environmental and social impacts.

2. a. **Does the entity have procedures in place for sustainable sourcing? (Yes/No)**

Yes, Grasim has implemented procedures for sustainable sourcing through its Responsible Supply Chain Policy. The policy ensures that the Company's procurement of goods and services aligns with legal standards and sustainability principles, including resilient supply chain solutions and transparency. We work with suppliers who meet our criteria for quality, timely delivery, and innovation, while also supporting local communities and respecting human rights. This policy applies to all our businesses and is integral to the Company's approach to maintaining a responsible supply chain.

Our Supplier Code of Conduct outlines strict standards for all suppliers, covering areas like safety, environmental impact, regulatory compliance, ethics, human rights, and fair wages, which all suppliers are expected to meet.

For our Cellulosic Fibres business, we ensure that the materials procured are sustainable and ethically sourced, in alignment with our Wood Fibre Sourcing Policy. We source all our pulp from forests that are responsibly managed, in line with FSC®, SFI®, and PEFC™ standards for pulp sourcing.

In the Specialty Chemicals business, we prioritise sourcing of glycerine-based Epichlorohydrin (ECH). This strategic sourcing decision markedly aids in reducing the Company's carbon footprint. In addition, our textiles business commits to sustainable sourcing for a significant share of its raw materials, including flax fibre and greasy wool, thereby strengthening its commitment to environmentally responsible practices throughout its operations.



For more information, please refer the links below.

Responsible Supply Chain Policy:

<https://www.grasim.com/Upload/PDF/responsible-supply-chain-policy.pdf>

Supplier Code of Conduct:

<https://www.grasim.com/upload/pdf/suppliers-code-conduct.pdf> Wood Fibre

Sourcing Policy:

<https://www.grasim.com/Upload/PDF/fibre-sourcing-policy.pdf>

b. If yes, what percentage of inputs were sourced sustainably?

47%

3. Describe the processes in place to safely reclaim your products for reusing, recycling and disposing at the end of life, for (a) Plastics (including packaging) (b) E-waste (c) Hazardous waste and (d) other waste.

	Process to safely reclaim the product
a. Plastics (including packaging)	Not Applicable
b. E-Waste	Not Applicable
c. Hazardous Waste	Not Applicable
d. Other Waste	Not Applicable

4. Whether Extended Producer Responsibility (EPR) is applicable to the entity's activities (Yes / No). If yes, whether the waste collection plan is in line with the Extended Producer Responsibility (EPR) plan submitted to Pollution Control Boards? If not, provide steps taken to address the same.

Yes, Grasim complies with the Extended Producer Responsibility (EPR) requirements as stipulated in the Plastic Waste Management (PWM) rules 2016 and amendments thereafter, which are applicable to the Company's operations. In line with the EPR regulations of the PWM rules, Grasim has established a waste collection system that is in accordance with the Central Pollution Control Board (CPCB) guidelines and protocols.

The Company has secured Brand Owner registration from the online portal and has presented its EPR Plan to the CPCB, adhering to the stipulated guidelines. The CPCB mandates targets for each year, expressed as percentages, and Grasim meets these annual targets by acquiring EPR Credits. These credits are obtained through the recycling and authorised disposal of plastic waste, encompassing both pre-consumer and post-consumer materials, in collaboration with CPCB-registered Plastic Waste Processors (PWP), which are classified into rigid or flexible categories.

The management and oversight of this process occurs via the CPCB online portal, which facilitates the exchange of EPR Credits. Grasim actively meets its EPR obligations and contributes to the advancement of sustainable waste management practices.

Business Responsibility & Sustainability Report (Contd.)

LEADERSHIP INDICATORS

1. Has the entity conducted Life Cycle Perspective / Assessments (LCA) for any of its products (for manufacturing industry) or for its services (for service industry)? If yes, provide details in the following format?

NIC Code	Name of Product/Service	% of total Turnover contributed	Boundary for which the Life Cycle Perspective/Assessment was conducted	Whether conducted by independent external agency (Yes/ No)	Results communicated in public domain (Yes/ No) If Yes, provide web-link
2030	Cellulosic Staple Fibre	44%	Cradle-to-gate	Yes	https://birlacellulose.com/policies_reports_files/policies_reports_pdf_36_1636614623.pdf#page=41
2011	Chlor-Alkali Products	20%	Cradle-to-gate	Yes	No
1311	Linen Fabric	4%	Cradle-to-gate	Yes	https://www.jayashree-grasim.com/wp-content/uploads/FY-19-20-and-21.pdf
2393	Insulator	2%	Cradle-to-gate	Yes	No
2029	Epoxy	7%	Cradle-to-gate	Yes	No

2. If there are any significant social or environmental concerns and/or risks arising from production or disposal of your products / services, as identified in the Life Cycle Perspective / Assessments (LCA) or through any other means, briefly describe the same along-with action taken to mitigate the same.

Name of the Product/Service	Description of the risk/concern	Action taken
Cellulosic Staple Fibre	On-site generation of electricity and steam from captive power plant leading to GHG emissions	- Decarbonisation and transitioning to green power and green steam required for fibre production. - Adopting more efficient coal-based steam and power generation. - Improving operational efficiency to achieve a reduction in steam and power consumption. - Actively participating in the Perform, Achieve and Trade (PAT) cycle as per the Bureau of Energy Efficiency (BEE).
Chlor-Alkali	Electricity used in the electrolysis process leading to GHG emissions	- Optimising power consumption through timely recoating, re-membraning and upgradation of electrolyzers. - Installing Variable Frequency Drivers (VFDs) and energy-efficient equipment IE-3 Grade motors by replacing non-IE/below IE-2 standard machines. - Actively participating in the Perform, Achieve and Trade (PAT) cycle as per Bureau of Energy Efficiency (BEE) to conserve energy. - Increasing the share of green energy footprint by enhancing renewable power and reducing the use of fossil fuels and carbon emissions.
Linen and Wool	Electricity and steam consumption during the process leading to GHG emissions	Sourcing hybrid power to increase the share of renewable power in the energy mix.
Insulator	Material usage in metal parts and fuel consumption in furnaces for manufacturing of porcelain insulators	- Sourcing renewable power and reducing the use of fossil fuels and carbon emissions. - Lightweighting porcelain and metal parts in insulators.
	Material usage in aluminium grading ring and energy consumption for vulcanisation process for manufacturing of composite insulators	- Sourcing electricity from renewable sources such as wind and solar. - Lightweighting metal parts in insulators.
Epoxy	Water consumption in production process and GHG emissions from production and packaging	- Replacing fossil-based steam partially or fully by biomass/briquette-based steam to reduce the various environmental impacts. - Optimising resource consumption to reduce waste and enhance yield of the product. - Procuring Epichlorohydrin (ECH) and Bisphenol-A with lower Global Warming Potential (GWP) impact for epoxy production.



3. Percentage of recycled or reused input material to total material (by value) used in production (for manufacturing industry) or providing services (for service industry).

Indicated input Material (By Weight)	Recycled or re-used input material to total material	
	FY 2024-25	FY 2023-24
	Nil	Nil

4. Of the products and packaging reclaimed at end of life of products, amount (in metric tonnes) reused, recycled, and safely disposed, as per the following format:

	FY 2024-25			FY 2023-24		
	Reused	Recycled	Safely Disposed	Reused	Recycled	Safely Disposed
Plastics (including packaging)	-	4,635	7,654	-	-	-
E-waste	-	-	-	-	-	-
Hazardous waste	-	-	-	-	-	-
Other waste	-	-	-	-	-	-

Note: Under the EPR obligations of the Plastic Waste Management (PWM) Rules, the Company collects plastic waste, which is either recycled or sent for environmentally sound end-of-life disposal through authorised partners.

5. Reclaimed products and their packaging materials (as percentage of products sold) for each product category.

Indicate product category	Reclaimed products and their packaging materials as % of total products sold in respective category
Plastic packaging waste	100%

Note: For plastic waste, the Company has reclaimed an equivalent quantity of 100% of the plastic packaging waste generated from products sold, in line with its Extended Producer Responsibility (EPR) obligations under the Plastic Waste Management (PWM) Rules.

Business Responsibility & Sustainability Report (Contd.)

PRINCIPLE 3: Businesses should respect and promote the well-being of all employees, including those in their value chains



Grasim maintains a work environment that respects the dignity and equitable treatment of all its employees and workers, extending through the entire value chain. We advocate for decent work, diversity, and non-discrimination, and serve as an equal-opportunity employer. Our systems and processes are designed to ensure fair wages, work-life balance, clear opportunities for professional development, and skill and competency enhancement. Grasim supports the freedom of association and collective bargaining, ensuring that employees have the right to representation and negotiation. Additionally, the Company strictly prohibits child labour and forced labour. Integral to the Company's ethos is our grievance redressal system, ensuring that concerns are addressed in a timely manner, contributing to the overall safety and well-being of the workforce.

ESSENTIAL INDICATORS

1. a. Details of measures for the well-being of employees:

Category	% of employees covered by										
	Total (A)	Health Insurance		Accident Insurance		Maternity Benefits		Paternity Benefits		Day Care Facilities	
		No. (B)	% (B/A)	No. (C)	%(C/A)	No.(D)	%(D/A)	No. (E)	%(E/A)	No. (F)	%(F/A)
Permanent Employees											
Male	10,695	10,695	100	10,695	100	-	-	10,695	100	7,842	73
Female	1,117	1,117	100	1,117	100	1,117	100	-	-	1,089	97
Total	11,812	11,812	100	11,812	100	1,117	100	10,695	100	8,931	76
Other than Permanent Employees											
Male	1,663	1,529	92	1,237	74	-	-	1,085	65	1,338	80
Female	124	102	82	86	69	88	71	-	-	78	63
Total	1,787	1,631	91	1,323	74	88	71	1,085	65	1,416	79

b. Details of measures for the well-being of workers:

Category	% of workers covered by										
	Total (A)	Health Insurance		Accident Insurance		Maternity Benefits		Paternity Benefits		Day Care Facilities	
		No. (B)	% (B/A)	No. (C)	%(C/A)	No.(D)	%(D/A)	No. (E)	%(E/A)	No. (F)	%(F/A)
Permanent Workers											
Male	15,376	10,340	67	9,936	65	-	-	1,555	10	10,357	67
Female	139	56	40	89	64	139	100	-	-	139	100
Total	15,515	10,396	67	10,025	65	139	100	1,555	10	10,496	68
Other than Permanent Workers											
Male	17,387	6518	37	9,899	57	-	-	-	-	3,672	21
Female	521	213	41	180	35	279	54	-	-	306	59
Total	17,908	6,731	38	10,079	56	279	54	-	-	3,978	22



c. Spending on measures towards well-being of employees and workers (including permanent and other than permanent) in the following format.

	FY 2024-25	FY 2023-24
Cost incurred on well-being measures as a % of total revenue of the Company*	0.44%	0.44%

*Reasonable assurance has been carried out by BDO India LLP for FY 2024-25.

2. Details of retirement benefits, for Current FY and Previous Financial Year.

Benefits	FY 2024-25			FY 2023-24		
	No. of employees covered as a % of total employees	No. of workers covered as a % of total workers	Deducted and deposited with the authority (Y/N/N.A.)	No. of employees covered as a % of total employees	No. of workers covered as a % of total workers	Deducted and deposited with the authority (Y/N/N.A.)
PF	100	100	Yes	100	100	Yes
Gratuity	100	100	Yes	100	100	Yes
ESI*	1	32	Yes	2	43	Yes
Others	The Company offers employee benefits like superannuation, NPS and leave encashment, if opted for.					

Note: Retirement benefits cover all permanent employees and workers.

*As per the Employees' State Insurance Act (1948), 100% of the eligible employees and workers are covered under the benefits.

3. Accessibility of workplaces: Are the premises / offices of the entity accessible to differently abled employees and workers, as per the requirements of the Rights of Persons with Disabilities Act, 2016? If not, whether any steps are being taken by the entity in this regard.

Yes. The Company facilitates inclusivity within its premises by implementing a strategic approach that enhances workplace accessibility for employees, customers, visitors, and other stakeholders with disabilities. This initiative spans across all our facilities, both existing and those in development. Grasim ensures that workspaces, restrooms, common areas, and transit routes within and around its buildings are accessible, promoting an inclusive environment for all. Our goal is to provide an environment that supports the productivity and well-being of stakeholders with disabilities, enabling them to thrive within our inclusive workspace.

4. Does the entity have an equal opportunity policy as per the Rights of Persons with Disabilities Act, 2016? If so, provide a web-link to the policy.

Yes, Grasim adheres to a Diversity and Inclusion Policy designed to ensure a workplace free from discrimination across our entire workforce and value chain. The Company is committed to provide equal opportunities for individuals with disabilities by enhancing accessibility and accommodating their distinctive needs. Grasim acknowledges and values the contributions made by persons with disabilities and is dedicated to establishing an environment conducive to their professional growth and success. This commitment is reflected in our efforts to render physical workspaces, digital platforms, technological resources, and communication channels accessible to all individuals.

The policy can be accessed at the following web link: <https://www.grasim.com/Upload/PDF/diversity-and-inclusion-policy.pdf>

5. Return to work and Retention rates of permanent employees and workers that took parental leave*.

Gender	Permanent Employees		Permanent Workers	
	Return to work rate	Retention rate	Return to work rate	Retention rate
Male	100%	90%	N.A	N.A
Female	100%	83%	100%	100%
Total	100%	89%	100%	100%

*Limited assurance has been carried out by BDO India LLP for FY 2024-25.

Business Responsibility & Sustainability Report (Contd.)

6. Is there a mechanism available to receive and redress grievances for the following categories of employees and worker? If yes, give details of the mechanism in brief.

Category	Yes/No	Details of the mechanism in brief
Permanent Workers	Yes	Within the organisational framework of Grasim, a formalised grievance redressal mechanism has been instituted to ensure that concerns raised by the workforce are acknowledged and remedied with due diligence, accessible through the Company's internal network infrastructure. This protocol facilitates the reporting of operational or performance-related issues by employees and workers directly to their respective supervisors or line managers. In circumstances where grievances are associated with broader organisational matters, performance evaluations, or issues pertaining to the immediate supervisor or reporting manager, it is recommended that employees engage with the Human Resources Manager. We have a portal that offers employees a transparent and objective platform for expressing organisational concerns. Furthermore, we carry out an annual survey to gather feedback and identify any potential issues or grievances among our staff. This proactive approach ensures the prompt resolution of concerns, contributing to a positive work environment. Please refer to our Grievance Handling Policy available at: https://www.grasim.com/Upload/PDF/grasim-grievance-handling-policy-fy21.pdf
Other than Permanent Workers	Yes	
Permanent Employees	Yes	
Other than Permanent Employees	Yes	

7. Membership of employees and worker in association(s) or Unions recognised by the listed entity:

Category	FY 2024-25			FY 2023-24		
	Total employees / workers in respective category (A)	No. of employees / workers in respective category, who are part of association(s) or Union (B)	%(B/A)	Total employees / workers in respective category (C)	No. of employees / workers in respective category, who are part of association(s) or Union (D)	%(D/C)
Permanent Employees						
Male	10,695	-	-	9,102	-	-
Female	1,117	-	-	940	-	-
Total	11,812	-	-	10,042	-	-
Permanent Workers						
Male	15,376	14,121	92	15,746	14,473	92
Female	139	139	100	141	141	100
Total	15,515	14,260	92	15,887	14,614	92

8. Details of training given to employees and workers:

Category	FY 2024-25					FY 2023-24				
	Total (A)	On Health and Safety measures*		On skill upgradation		Total (D)	On Health and Safety measures		On skill upgradation	
		No. (B)	% (B / A)	No. (C)	% (C / A)		No. (E)	% (E / D)	No. (F)	% (F / D)
Employees										
Male	12,358	5,387	44	6,760	55	9,524	8,073	85	8,036	84
Female	1,241	530	43	781	63	1,003	891	89	926	92
Total	13,599	5,917	44	7,541	55	10,527	8,964	85	8,962	85
Workers										
Male	32,763	32,763	100	4,510	14	34,712	18,220	52	9,737	28
Female	660	660	100	38	6	690	263	38	89	13
Total	33,423	33,423	100	4,548	14	35,402	18,483	52	9,826	28

*Limited assurance has been carried out by BDO India LLP for FY 2024-25.

Note: The Company provides regular trainings on health and safety across all its units.



9. Details of performance and career development reviews of employees and workers*:

Category	FY 2024-25			FY 2023-24		
	Total (A)	No. (B)	% (B/A)	Total (C)	No. (D)	%(D/C)
Employees						
Male	12,358	10,453	84.58	9,524	7,996	83.96
Female	1,241	1,030	83.00	1,003	722	71.98
Total	13,599	11,483	84.44	10,527	8,718	82.82
Workers						
Male	32,763	2,544	7.76	34,712	3,422	9.86
Female	660	-	-	690	1	0.14
Total	33,423	2,544	7.61	35,402	3,423	9.67

*Limited assurance has been carried out by BDO India LLP for FY 2024-25.

10. Health and safety management system:

a. Whether an occupational health and safety management system has been implemented by the entity? (Yes/ No). If yes, the coverage such system?	Yes, the Company has a system in place that ensures the health and safety of its workforce through a comprehensive Occupational Health and Safety Management System (OHSMS). This system adheres to the sustainability standards of the Aditya Birla Group and is compliant with the ISO 45001 and SA 8000 certifications. To evaluate the system's effectiveness, the Company utilises a Self-Assessment Questionnaire (SAQ) Assurance model, which contributes to the continuous protection of our workforce. The enforcement and management of this system are handled by a collaborative governance structure, which includes members from management, employee representatives, and worker groups.
b. What are the processes used to identify work-related hazards and assess risks on a routine and non-routine basis by the entity?	The Company employs a systematic approach to identify work-related hazards and assess risks, which includes the following processes: • Implementation of a Risk Evaluation Management and Occupational Health Risk Assessment framework, incorporating Tier-1 and Tier-2 Risk Assessment protocols. • Application of the Business Hazard Identification and Risk Assessment (HIRA) procedure across various business segments for hazard identification and risk assessment of both routine and non-routine tasks, with the establishment of appropriate controls. • Conducting HAZOP (Hazard and Operability Study) to identify and evaluate potential hazards in processes and integrating these findings into the Company's safety practices. • Creation of Operational Control Procedures and Work Instructions to address and minimise significant risks. • Organising toolbox talks with contractors before the commencement of any project, followed by a job safety analysis and the issuance of work permits to ensure the safety of all individuals involved. • Execution of a detailed Job Safety Analysis for tasks identified as high-risk or critical.
c. Whether you have processes for workers to report the work-related hazards and to remove themselves from such risks. (Yes/No)	Yes, our approach to incident management involves a proactive loop of actions designed to prevent future occurrences. Initially, we analyse the data from reported incidents, which can be submitted through an accessible online platform from any location. From this analysis, we derive corrective and preventive measures (CAPA) to address the root causes. Subsequently, we distribute a comprehensive report of the lessons learned to all pertinent parties, ensuring that the knowledge gained is shared widely and effectively to mitigate the risk of recurrence.
d. Do the employees/ worker of the entity have access to non-occupational medical and healthcare services? (Yes/ No)	Yes, the Company maintains continuous provision of non-occupational medical and healthcare services for the benefit of its workforce.

Business Responsibility & Sustainability Report (Contd.)

11. Details of safety related incidents*:

Safety Incident/Number	Category	FY 2024-25	FY 2023-24
Lost Time Injury Frequency Rate (LTIFR) (per one million-person hours worked)	Employees	0.06	0.04
	Workers	0.23	0.30
Total recordable work-related injuries	Employees	2	6
	Workers	94	76
No. of fatalities	Employees	-	-
	Workers	1	3
High consequence work-related injury or ill-health (excluding fatalities)	Employees	-	4
	Workers	-	-

*Reasonable assurance has been carried out by BDO India LLP for FY 2024-25.

12. Describe the measures taken by the entity to ensure a safe and healthy work place.

Grasim has integrated Behaviour-Based Safety (BBS) into its operations, enabling the digital recording and analysis of safe practices, hazardous conditions, and near-miss incidents. This system is part of a comprehensive safety strategy that includes regular educational programs and awareness campaigns for all employees, including contract workers, to promote proper work habits and safety awareness. The Company also conducts mock drills across every division to assess emergency response readiness, and toolbox talks are a standard precursor to work, emphasising the importance of safety daily.

To support these safety initiatives, Grasim has developed a substantial infrastructure for occupational health assessments, with continuous monitoring of work environments and well-equipped medical facilities available to all employees. New hires, including contract workers and security staff, are required to participate in safety induction sessions to familiarise them with the Company's safety procedures.

The Company's operational safety standards are rigorous, with protocols such as the Permit to Work system addressing Confined Spaces, Hot Work, Machine Guarding, Working at Height, Electrical Safety, Management of Change, and Process Safety Management. These standards are reinforced by plant-specific standard operating procedures (SOPs) in each business unit, which are regularly audited internally and externally to ensure compliance with Occupational Safety Parameters.

Grasim's commitment to safety is further demonstrated by its adherence to ABG sustainability guidelines and the requirements of ISO 45001 and SA 8000. A structured Kaizen program encourages all levels of employees to submit safety-related improvements, while central and departmental safety committees carry out routine safety audits. These efforts are complemented by audits from the Group assurance team, which verify the robustness of the Safety Frameworks in place.

Our safety and OHS policies are publicly accessible on our website:

Safety Policy: <https://www.grasim.com/Upload/PDF/safety-policy.pdf>

Occupational Health Policy: <https://www.grasim.com/Upload/PDF/occupational-health-policy.pdf>


13. Number of Complaints on the following made by employees and workers:

	FY 2024-25			FY 2023-24		
	Filed during the year	Pending resolution at the end of year	Remarks	Filed during the year	Pending resolution at the end of year	Remarks
Working Conditions	Nil	Nil	-	6	Nil	-
Health & Safety	Nil	Nil	-	12	Nil	-

14. Assessments for the year:

% of your plants and offices that were assessed (by entity or statutory authorities or third parties)	
Health and safety practices	100% (All units of Grasim are assessed by both internal and external parties)
Working Conditions	

15. Provide details of any corrective action taken or underway to address safety-related incidents (if any) and on significant risks / concerns arising from assessments of health & safety practices and working conditions.

Grasim has established a systematic incident management protocol that begins with prompt reporting into the incident reporting tool. For significant incidents, Grasim convenes specialised cross-functional teams to conduct in-depth analyses, the results of which are deliberated in central safety committee meetings. These findings, along with significant incident reports, are shared across group companies to aid in preventing recurrence.

The Company employs the Taproot tool to conduct thorough investigations into incidents, uncovering root causes and informing the development of response strategies. These strategies are then disseminated throughout all facilities to mitigate adverse effects and enhance safety practices.

In parallel, Grasim upholds a rigorous audit system for Environmental and Occupational Health Safety standards, with a cadre of internal auditors trained in various ISO Standards performing biannual compliance reviews. These are complemented by external audits, and any issues uncovered are addressed at their core, ensuring the enactment of effective corrective and preventative actions.

LEADERSHIP INDICATORS
1. Does the entity extend any life insurance or any compensatory package in the event of death of

- (A) Employees: Yes
(B) Workers: Yes

2. Provide the measures undertaken by the entity to ensure that statutory dues have been deducted and deposited by the value chain partners.

- We verify contractor compliance with PF and ESIC regulations by ensuring timely payments before settling their invoices and are initiating processes for vendor compliance assurance.
- We conduct monthly cross-verification of GSTR-2B to confirm that vendors are consistent with GST payments and government return filings.
- We have a GST return filing process that supports customers in claiming GST credits on schedule, with any issues being addressed promptly.
- We engage in regular follow-ups with customers and vendors to obtain TDS/TCS certificates (Form 16A and Form 27D), facilitating scheduled payments.
- We ensure timely disbursement of TDS/TCS and issuance of certificates to vendors, customers, and staff to enable them to claim credits without delays.

Business Responsibility & Sustainability Report (Contd.)

- We request vendors' annual Income Tax Returns to ensure the correct TDS rates are applied and to encourage timely submission of their tax returns.
- We collect Tax Residency Certificates, Permanent Establishment Certificates, and Form 10F for all overseas transactions to regulate foreign payments and prevent tax evasion.
- We ensure the timely payment of the Labour Welfare Fund.

3. Provide the number of employees / workers having suffered high consequence work related injury / ill-health / fatalities (as reported in Q11 of Essential Indicators above), who have been rehabilitated and placed in suitable employment or whose family members have been placed in suitable employment:

	Total no. of affected employees/ workers		No. of employees/workers that are rehabilitated and placed in suitable employment or whose family members have been placed in suitable employment	
	FY 2024-25	FY 2023-24	FY 2024-25	FY 2023-24
Employees	-	4	-	-
Workers	1	3	-	1

Note: Right to employment is extended to all affected employees/workers and their families.

4. Does the entity provide transition assistance programs to facilitate continued employability and the management of career endings resulting from retirement or termination of employment? (Yes/ No)

Yes. The Company extends its support network to all employees approaching retirement. Through the exclusive Enabling a New Life Post Retirement (ENLPR) program, the Company actively engages in empowering and equipping its workforce with the necessary guidance and motivation to embrace their post-retirement phase with confidence and a clear direction.

5. Details on assessment of value chain partners:

% of value chain partners (by value of business done with such partners) that were assessed	
Health and Safety Practices	37%
Working Conditions	37%

6. Provide details of any corrective actions taken or underway to address significant risks / concerns arising from assessments of health and safety practices and working conditions of value chain partners.

No significant risks or concerns were identified in the assessment of our suppliers. The Company provides constant guidance to its value chain partners through various capability building sessions on health and safety practices.



PRINCIPLE 4: Businesses should respect the interests of and be responsive to all its stakeholders



We understand the importance of addressing the concerns of all stakeholders, emphasising vulnerable and marginalised groups. The Company follows a structured approach and engages in consistent stakeholder consultations to ensure its operations align with broader stakeholder expectations. Our endeavour is to increase the positive impact of our business activities while actively working to minimise and mitigate any negative impacts of our products and operations. Through effective grievance redressal mechanisms, we aim to prevent conflicts from arising and ensure that any concerns are addressed promptly. Our engagement with stakeholders is designed to equitably distribute the value generated by our operations, creating a business ecosystem that is sustainable and fair for all parties involved.

ESSENTIAL INDICATORS

1. Describe the processes for identifying key stakeholder groups of the entity:

At Grasim, we employ a structured methodology to identify key stakeholder groups, outlined as below:

- **Stakeholder Mapping:** Carry out an exercise to identify and categorise key stakeholder groups that are pertinent to Grasim's business. This involves evaluating the impact and influence of various individuals, organisations, and communities on our operations, as well as the impact of our activities on them.
- **In-house Consultation:** Engage in dialogues with our internal teams, divisions, and leaders to collect viewpoints and deepen our understanding of stakeholder groups. This involves organising workshops, meetings, and discussions to identify stakeholders who have a direct or indirect impact on our businesses.
- **External Collaboration:** Connect with external stakeholders through a variety of communication channels, including surveys, interviews, focus groups, and public consultations, to gain a better understanding of their needs, concerns, and interests related to our operations and sustainability initiatives.
- **Compilation of Stakeholder Matrix:** Compile a stakeholder matrix based on the data collected from internal and external consultations, categorising stakeholders according to their level of influence, impact, and relevance to Grasim's business.
- **Formulation of Stakeholder Engagement Plans:** Develop tailored engagement plans for each key stakeholder group, outlining the purpose, communication channels, frequency, key interventions, and activities, while addressing their unique interests and concerns.
- **Ongoing Monitoring and Response:** Maintain ongoing stakeholder engagement to track evolving needs and expectations, gathering regular feedback through surveys, forms, meetings, and other channels to ensure meaningful and effective interactions.

Grasim's Stakeholder Engagement Policy is available here: <https://www.grasim.com/Upload/PDF/grasim-stakeholderengagement-policy.pdf>

2. List stakeholder groups identified as key for your entity and the frequency of engagement with each stakeholder group:

Please refer to the Stakeholder Engagement section on page no. 94 of this report for details.

Business Responsibility & Sustainability Report (Contd.)

LEADERSHIP INDICATORS

- 1. Provide the processes for consultation between stakeholders and the Board on economic, environmental, and social topics or if consultation is delegated, how is feedback from such consultations provided to the Board.**

Grasim's management plays a pivotal role in facilitating stakeholder consultations on key economic, environmental, and social issues, ensuring stakeholders' interests are well-represented. The Company provides designated communication channels and forums for stakeholders to voice their perspectives, with Board-level committees overseeing these interactions to address concerns efficiently. The feedback collected is carefully reviewed and conveyed to the Board, which uses these insights to align the Company's strategic decisions with stakeholder expectations and the overarching goal of sustainable business practices. This comprehensive process highlights Grasim's focus on the importance of maintaining an active, constructive dialogue with its stakeholders.

- 2. Whether stakeholder consultation is used to support the identification and management of environmental and social topics (Yes / No). If so, provide details of instances as to how the inputs received from stakeholders on these topics were incorporated into policies and activities of the entity.**

Yes, stakeholder consultation is used to support the identification and management of environmental and social topics at Grasim. This engagement is essential in identifying material topics that shape the Company's ESG strategy, targets, and action plans. We collect insights from various stakeholders, including investors, customers, governmental bodies, regulators, rating agencies, and consultants, through various communication channels. The feedback and suggestions are thoroughly examined and relevant suggestions are considered in Grasim's policies and activities.

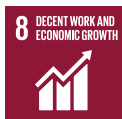
- 3. Provide details of instances of engagement with, and actions taken to, address the concerns of vulnerable/marginalised stakeholder groups.**

Grasim takes a proactive and structured approach to stakeholder engagement, focusing on the needs of vulnerable and marginalised groups through its CSR initiatives. These programs encourage beneficiaries to establish self-help groups, aiming to create more job opportunities and contribute to poverty alleviation. The engagement process starts with a detailed needs assessment to pinpoint the immediate needs and skill gaps affecting employment prospects for these groups. Beneficiaries actively participate in decision-making and project planning, collaborating with potential employers, educational institutions, and NGOs to ensure their concerns are met and their economic conditions are improved.



PRINCIPLE 5: Businesses should respect and promote human rights

We maintain a diverse and inclusive work environment that respects human rights and ensures zero tolerance towards harassment and discrimination. Our policies and procedures enable employees to express their concerns readily, ensuring that grievances are resolved swiftly and equitably. We comply with national and international regulations, including the UNGC principles on business and human rights, and continuously seek to integrate best practices. These include providing fair wages, promoting an inclusive culture, and safeguarding human rights, with a particular focus on being responsive to the most vulnerable. We promote awareness throughout our value chain, aligning partners and suppliers with our human rights principles for an inclusive, non-discriminatory work environment. Additionally, our due diligence processes aim to identify, prevent, mitigate, and address adverse human rights impacts, with corrective actions taken as necessary to maintain our ethical and responsible business practices.



ESSENTIAL INDICATORS

1. Employees and workers who have been provided training on human rights issues and policy(ies) of the entity:

Category	FY 2024-25			FY 2023-24		
	Total (A)	No. of employees / workers covered (B)	% (B / A)	Total (C)	No. of employees / workers covered (D)	% (D / C)
Employees						
Permanent	11,812	3,383	29	10,042	2,805	28
Other than permanent	1,787	340	19	485	16	3
Total Employees	13,599	3,723	27	10,527	2,821	27
Workers						
Permanent	15,515	1,530	10	15,887	1,206	8
Other than permanent	17,908	3,028	17	19,515	5,311	27
Total Workers	33,423	4,558	14	35,402	6,517	18

2. Details of minimum wages paid to employees and workers:

Category	FY 2024-25					FY 2023-24				
	Total (A)	Equal to Minimum Wage		More than Minimum Wage		Total (D)	Equal to Minimum Wage		More than Minimum Wage	
		No. (B)	% (B / A)	No. (C)	% (C / A)		No. (E)	% (E / D)	No. (F)	% (F / D)
Permanent Employees										
Male	10,695	-	-	10,695	100	9,102	324	4	8,778	96
Female	1,117	-	-	1,117	100	940	43	5	897	95
Total	11,812	-	-	11,812	100	10,042	367	4	9,675	96
Other than Permanent Employees										
Male	1,663	220	13	1,443	87	422	-	-	422	100
Female	124	3	2	121	98	63	-	-	63	100
Total	1,787	223	12	1,564	88	485	-	-	485	100
Permanent Workers										
Male	15,376	-	-	15,376	100	15,746	-	-	15,746	100
Female	139	-	-	139	100	141	-	-	141	100
Total	15,515	-	-	15,515	100	15,887	-	-	15,887	100
Other than Permanent Workers										
Male	17,387	13,391	77	3,996	23	18,966	All contractors have been paid more than minimum wages in accordance with the laws of the land where the Company operates			
Female	521	363	70	158	30	549				
Total	17,908	13,754	77	4,154	23	19,515				

Business Responsibility & Sustainability Report (Contd.)

3. Details of remuneration/salary/wages

a. Median remuneration / wages

	Male		Female	
	Number	Median remuneration/ salary/ wages of respective category	Number	Median remuneration/ salary/ wages of respective category
Board of Directors (BoD)	11	13,75,000	3	28,60,000
Key Managerial Personnel	3	3,54,67,184	-	-
Employees other than BoD and KMP	10,692	6,57,834	1,117	5,51,981
Workers	15,376	4,16,638	139	2,07,471

Note: Data includes details for permanent employees and permanent workers.

b. Gross wages paid to females as % of total wages paid by the entity:

	FY 2024-25	FY 2023-24
Gross wages paid to females as % of total wages*	5%	5%

*Reasonable assurance has been carried out by BDO India LLP for FY 2024-25.

4. Do you have a focal point (Individual/ Committee) responsible for addressing human rights impacts or issues caused or contributed to by the business? (Yes/No)

Yes, each of Grasim's manufacturing locations has a dedicated committee tasked with addressing human rights complaints.

5. Describe the internal mechanisms in place to redress grievances related to human rights issues.

Grasim has set up an internal system that aligns with its human rights policy, accessible to all stakeholders and the public.

To address complaints, the Company has a grievance redressal committee for issues including human rights. This system allows employees and stakeholders to report concerns or grievances about potential human rights violations without fear of reprisal. They can submit complaints in writing to a committee member or through a contact point.

On receiving a complaint, the committee conducts a thorough investigation, ensuring the process is transparent and fair, involving evidence collection, discussions with relevant parties, and expert consultation when needed. The aim is to resolve grievances quickly and ensure a fair outcome.

Privacy and confidentiality are maintained for all parties during the grievance resolution process. The Company prioritises a safe and supportive environment, protecting complainants from harassment or victimisation during and after the investigation.

Please refer to our Human Rights Policy: <https://www.grasim.com/upload/pdf/human-rights-policy.pdf>

6. Number of Complaints on the following made by employees and workers:

	FY 2024-25			FY 2023-24		
	Filed during the year	Pending resolution at the end of year	Remarks	Filed during the year	Pending resolution at the end of year	Remarks
Sexual Harassment	12	2	-	5	1	-
Discrimination at workplace	Nil	Nil	-	Nil	Nil	-
Child Labour	Nil	Nil	-	Nil	Nil	-
Forced Labour / Involuntary Labour	Nil	Nil	-	Nil	Nil	-
Wages	Nil	Nil	-	Nil	Nil	-
Other human rights related issues	Nil	Nil	-	Nil	Nil	-



7. Complaints filed under the Sexual Harassment of Women at Workplace* (Prevention, Prohibition and Redressal) Act, 2013:

	FY 2024-25	FY 2023-24
Total Complaints reported under Sexual Harassment on of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013 (POSH)	12	5
Complaints on POSH as a % of female employees / workers	0.96%	0.46%
Complaints on POSH upheld	11^	4

^One pending complaint from FY 2023-24 is upheld in addition to 10 complaints upheld in FY 2024-25.

*Reasonable assurance has been carried out by BDO India LLP for FY 2024-25.

8. Mechanism to prevent adverse consequences to the complainant in discrimination and harassment cases.

Our comprehensive Human Rights Policy ensures the protection of fundamental rights and prevents any form of discrimination or harassment across our operations. The Diversity and Inclusion Policy further strengthens this commitment, creating an environment where all individuals, regardless of background, are respected and valued. Grasim also enforces a strict Prevention of Sexual Harassment (POSH) policy, addressing discrimination, harassment, or any unfair treatment with the utmost seriousness. Every reported incident is thoroughly investigated, with a focus on safeguarding the complainant's well-being, maintaining confidentiality, and providing support throughout the process.

Throughout the investigative proceedings, the Company ensures that the complainant, witnesses, and any other individuals involved are not subjected to any form of unfavourable treatment or victimisation. Retaliation in any form is prohibited. However, in the event that an investigation reveals a complaint to be maliciously intended, the Company may enact appropriate disciplinary measures, which could include the termination of the complainant's employment.

Please refer to our policies below:

Prevention of Sexual Harassment (POSH): <https://www.grasim.com/Upload/PDF/POSH-policy.pdf>,

Human Rights Policy: <https://www.grasim.com/upload/pdf/human-rights-policy.pdf>,

Diversity and Inclusion Policy: <https://www.grasim.com/Upload/PDF/diversity-and-inclusion-policy.pdf>

9. Do human rights requirements form part of your business agreements and contracts? (Yes/No)

Yes, Grasim encourages that all entities within its value chain abide by the Human Rights Policy and the Supplier's Code of Conduct. Agreements with our partners and suppliers are carefully drafted to include dedicated clauses on human rights. This inclusion serves to elevate the understanding and importance of human rights among our associates, ensuring that their operations fully align with Grasim's dedication to these fundamental principles throughout all its business endeavors.

10. Assessment for the year:

	% of your plants and offices that were assessed (by entity or statutory authorities or third parties)
Child labour	100%
Forced/involuntary labor	100%
Sexual harassment	100%
Discrimination at workplace	100%
Wages	100%
Others – please specify	NA

Business Responsibility & Sustainability Report (Contd.)

11. Provide details of any corrective actions taken or underway to address significant risks / concerns arising from the assessments at Question 10 above.

Grasim performs internal audits to check compliance of its plants and offices with legal and policy requirements related to issues like discrimination, child labour, and sexual harassment. Our facilities undergo external audits in accordance with the SA 8000 standard, which assesses our adherence to social accountability practices. Throughout the year, these audits have not resulted in any significant findings.

LEADERSHIP INDICATORS

1. Details of a business process being modified / introduced as a result of addressing human rights grievances/ complaints.

Grasim continues to address and resolve issues pertaining to human rights effectively through its grievance mechanism across manufacturing locations.

2. Details of the scope and coverage of any Human rights due diligence conducted.

Grasim has implemented the Human Rights Due Diligence (HRDD) tool across all its operations, demonstrating its commitment to identifying, preventing, and mitigating potential human rights risks within its business and supply chain. This comprehensive approach extends beyond individual facilities to encompass the entire Company, ensuring accountability in managing human rights issues across various sites. As part of the HRDD process, Grasim regularly evaluates its strategies, practices, and procedures to ensure compliance with recognised human rights standards.

3. Is the premise/office of the entity accessible to differently abled visitors, as per the requirements of the Rights of Persons with Disabilities Act, 2016?

Yes, Grasim ensures that all its facilities are accessible to differently-abled individuals in line with the Rights of Persons with Disabilities Act, 2016.

4. Details on assessment of value chain partners:

% of value chain partners (by value of business done with such partners) that were assessed	
Sexual Harassment	37% of our value chain partners have been assessed in FY 2024-25. The Company ensures that the entire value chain adheres to the Supplier Code of Conduct, which prevents violations of labour rights, health and safety, and issues like sexual harassment, discrimination, fair pay, child labour, forced labour and more.
Discrimination at workplace	
Child Labour	
Forced Labour/Involuntary Labour	
Wages	
Others – please specify	

5. Provide details of any corrective actions taken or underway to address significant risks / concerns arising from the assessments at Question 4 above.

No significant risks or concerns were identified in the assessment of our suppliers.



PRINCIPLE 6: Businesses should respect and make efforts to protect and restore the environment

Embracing sustainable development involves balancing the fulfilment of current requirements with the foresight to preserve resources for future generations. In this spirit, we engage in climate change adaptation and address pollution management by integrating low carbon technologies and pollution control equipment to reduce environmental impact. Biodiversity conservation stands as a key focus, ensuring the protection of diverse ecosystems. The Company actively pursues waste minimisation through strategies of reduction, reuse, and recovery. The sustainable use of natural resources and resource optimisation are considered across the lifecycle of products, aiming for long-term sustainability. To guide these efforts, the Company has established various policies and set clear performance targets, with regular reviews to track progress and drive continuous improvement.



ESSENTIAL INDICATORS

1. Details of total energy consumption (in million GJ) and energy intensity:

Parameter	FY 2024-25	FY 2023-24
From renewable sources		
Total electricity consumption (A)	1.67	1.56
Total fuel consumption (B)	2.65	3.02
Energy consumption through other sources (C)	-	-
Total energy consumed from renewable sources (A+B+C)	4.32	4.58
From non-renewable sources		
Total electricity consumption (D)	6.06	5.98
Total fuel consumption (E)	56.41	57.72
Energy consumption through other sources (F)	-	-
Total energy consumption from non-renewable sources (D+E+F)	62.47	63.71
Total energy consumed (A+B+C+D+E+F)	66.79	68.28
Energy intensity per rupee of turnover (Total energy consumption/Revenue from operations) (GJ / crore ₹)	2,116.17	2,641.72
Energy intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP)* (Total energy consumed / Revenue from operations adjusted for PPP) (GJ / million US\$)	4,372.00	6,044.26
Energy intensity in terms of physical output Energy intensity (GJ/MT)	20.01	22.53

* The revenue from operations has been adjusted for PPP based on the latest 2025 PPP conversion factor for India published by IMF.

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

Yes, reasonable assurance has been carried out by BDO India LLP for FY 2024-25.

2. Does the entity have any sites / facilities identified as designated consumers (DCs) under the Performance, Achieve and Trade (PAT) Scheme of the Government of India? (Y/N) If yes, disclose whether targets set under the PAT scheme have been achieved. In case targets have not been achieved, provide the remedial action taken, if any.

Yes, 11 out of 26 Grasim's sites are designated consumers under the PAT scheme with a target year of FY 2024-25 and beyond.

All the units where PAT scheme is applicable are on course to achieve their respective targets set by Bureau of Energy Efficiency.

Business Responsibility & Sustainability Report (Contd.)

3. Provide details of the following disclosures related to water:

Parameter	FY 2024-25	FY 2023-24
Water withdrawal by source (in million cubic meter)		
(i) Surface water	36.14	37.08
(ii) Groundwater	2.49	2.41
(iii) Third party water	13.34	13.01
(iv) Seawater / desalinated water	8.17	1.30
(v) Others (Rainwater storage)	0.08	0.12
Total volume of water withdrawal (i + ii + iii + iv + v)	60.22	53.91
Total volume of water consumption* (in million cubic meter)	28.18	27.48*
Water intensity per rupee of turnover (Water consumed / Revenue from operations) (m ³ / crore ₹)	892.95	1,063.17
Water intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP)** (Total water consumption / Revenue from operations adjusted for PPP) (m ³ / million US\$)	1844.84	2,432.52
Water intensity in terms of physical output Water intensity (m ³ /MT)	8.44	9.07

*Water consumption is calculated using GRI formula (Water Consumption = Water Withdrawal - Water Discharge). Basis the revised formula, water consumption number for FY2023-24 has been restated.

** The revenue from operations has been adjusted for PPP based on the latest 2025 PPP conversion factor for India published by IMF.

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

Yes, reasonable assurance has been carried out by BDO India LLP for FY 2024-25.

4. Provide the following details related to water discharged:

Parameter	FY 2024-25	FY 2023-24
Water discharge by destination and level of treatment (in million cubic meter)		
(i) To Surface water		
- No treatment	-	-
- With treatment – Secondary Treatment	10.44	10.26
(ii) To Groundwater		
- No treatment	-	-
- With treatment	-	-
(iii) To Seawater		
- No treatment	-	-
- With treatment – Secondary Treatment	20.21	16.00
(iv) Sent to third-parties		
- No treatment	-	-
- With treatment – Secondary Treatment	1.39	0.16
(v) Others		
- No treatment	-	-
- With treatment	-	-
Total water discharged (in million cubic meter)	32.04	26.43

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

Yes, reasonable assurance has been carried out by BDO India LLP for FY 2024-25.



5. Has the entity implemented a mechanism for Zero Liquid Discharge? If yes, provide details of its coverage and implementation.

Yes, among Grasim's 26 manufacturing units, 13 of them have installed ZLD (Zero Liquid Discharge) plants, including one under commissioning.

Cellulosic Staple Fibre - Nagda;

Chemicals - Nagda, Renukoot, Ganjam, Rehla, and Balabhadrapuram;

Paints - Panipat, Ludhiana and Cheyyar;

Textiles - Rishra, Malanpur & Kolhapur (under commissioning);

Insulators - Halol.

6. Please provide details of air emissions (other than GHG emissions) by the entity:

Parameter	Unit	FY 2024-25	FY 2023-24
NOx	MT	2,032.09	2,319.28
SOx	MT	7,387.54	7,735.26
Particulate matter (PM)	MT	1,000.14	1,097.72
Persistent organic pollutants (POP)	-	-	-
Volatile organic compounds (VOC)*	MT	0.04	-
Hazardous air pollutants (HAP)	-	-	-
Others	-	-	-

*VOC reporting is added this year (FY2024-25) due to commissioning of Paints business.

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

Yes, limited assurance has been carried out by BDO India LLP for FY 2024-25 for SOx, NOx, Particulate Matter & VOC.

7. Provide details of greenhouse gas emissions (Scope 1 and Scope 2 emissions) & its intensity:

Parameter	Unit	FY 2024-25	FY 2023-24
Total Scope 1 emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	Million tCO ₂ e	5.11	5.31
Total Scope 2 emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	Million tCO ₂ e	1.22	1.19
Total Scope 1 and Scope 2 emissions per rupee of turnover (Total Scope 1 and Scope 2 GHG emissions / Revenue from operations)	tCO ₂ e / crore ₹	200.73	251.35
Total Scope 1 and Scope 2 emission intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP)* (Total Scope 1 and Scope 2 GHG emissions / Revenue from operations adjusted for PPP)	tCO ₂ e / million US\$	414.70	575.09
Total Scope 1 and Scope 2 emission intensity in terms of physical output	tCO ₂ e / MT	1.90	2.14

* The revenue from operations has been adjusted for PPP based on the latest 2025 PPP conversion factor for India published by IMF.

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

Yes, reasonable assurance has been carried out by BDO India LLP for FY 2024-25.

Business Responsibility & Sustainability Report (Contd.)

8. Does the entity have any project related to reducing Green House Gas emission? If Yes, then provide details.

Optimising Exhaust Blower Speed for Energy Efficiency:

To improve energy efficiency and reduce emissions in the Spin Bath calcination process, we optimised the operation of the exhaust blower, which previously ran continuously at high speed. A Variable Frequency Drive (VFD) was installed to regulate blower speed based on actual process needs. This adjustment reduced energy consumption by 49,625 kWh annually, lowered salt particle emissions, and enhanced drying performance by increasing hot air retention. The initiative not only improved process stability but also supported our broader sustainability goals by aligning operations with environmental best practices.

Other Initiatives:

Multiple initiatives were undertaken to enhance energy efficiency and reduce emissions across operations. LPG consumption was optimised through process improvements such as fan efficiency enhancement and use of low-specific-heat refractory materials achieved without capital investment. Compressed air systems were restructured by introducing pressure segregation and replacing old compressors with energy-efficient, VFD-enabled two-stage units, resulting in reduced power consumption and header losses. Additionally, electrolyser efficiency was improved through digital monitoring tools, enabling real-time performance tracking and timely interventions to lower electricity usage.

For more details related to emission reduction projects, please refer Natural Capital section of the report on page no. 150.

9. Provide details related to waste management by the entity:

Parameter	FY 2024-25	FY 2023-24
Total waste generated (in metric tonnes)		
Plastic waste (A)	1,792.22	1,261.28
E-waste (B)	85.70	73.23
Bio-medical waste (C)	2.84	7.63
Construction and demolition waste (D)	13,616.63	15,800.28
Battery waste (E)	83.35	88.43
Radioactive waste (F)	-	-
Other Hazardous waste. Please specify, if any. (G)	2,25,464.54	2,21,372.93
Other Non-hazardous waste generated (H). Please specify, if any. (Break-up by composition i.e., by materials relevant to the sector)	8,90,638.95	8,04,332.89
Total (A + B + C + D + E + F + G + H)	11,31,684.23	10,42,936.67
Waste intensity per million ₹ of turnover (Total waste generated / Revenue from operations) (MT / crore ₹)	35.85	40.35
Waste intensity per million ₹ of turnover adjusted for Purchasing Power Parity (PPP)* (Total waste generated / Revenue from operations adjusted for PPP) (MT / million US\$)	74.08	92.32
Waste intensity in terms of physical output Waste intensity (MT of waste / MT)	0.34	0.34

* The revenue from operations has been adjusted for PPP based on the latest 2025 PPP conversion factor for India published by IMF.



For each category of waste generated, total waste recovered through recycling, re-using or other recovery operations (in metric tonnes)

Parameter	FY 2024-25	FY 2023-24
Category of waste (Hazardous Waste)		
(i) Recycled	82,165.41	87,877.95
(ii) Re-used	52,541.47	59,975.66
(iii) Other recovery operations	29,469.33	20,079.36
Total	1,64,176.21	1,67,932.97
Category of waste (Non-Hazardous Waste)		
(i) Recycled	2,22,118.93	2,81,380.60
(ii) Re-used	6,53,532.26	4,93,508.52
(iii) Other recovery operations	10,100.85	9,640.14
Total	8,85,752.04	7,84,529.25

For each category of waste generated, total waste disposed by nature of disposal method (in metric tonnes)

	FY 2024-25	FY 2023-24
Category of waste (Hazardous Waste)		
(i) Incineration	885.94	565.33
(ii) Landfilling	57,370.49	57,688.77
(iii) Other disposal operations	-	-
Total	58,256.42	58,254.10
Category of waste (Non-Hazardous Waste)		
(i) Incineration	125.41	29.89
(ii) Landfilling	6,710.75	6,598.31
(iii) Other disposal operations	-	-
Total	6,836.16	6,628.20

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

Yes, reasonable assurance has been carried out by BDO India LLP for FY 2024-25.

10. Briefly describe the waste management practices adopted in your establishments. Describe the strategy adopted by your company to reduce usage of hazardous and toxic chemicals in your products and processes and the practices adopted to manage such wastes.

Grasim maintains an effective waste management system that adheres to industry best practices ensuring the collection, handling, storage, transportation, and disposal of waste in compliance with national and local waste management regulations. We prioritise recycling, reuse, and recovery of waste, minimising incineration and landfilling.

Solid waste management is a key focus area for the Company. Bio-sludge from our Effluent Treatment Plants is repurposed as a coal substitute in our power plants, aligning with our strategy to reduce greenhouse emissions and address the challenges of landfilling, which can vary with the seasons.

To further reduce waste, we are shifting to the procurement of super washed/washed salt, which decreases sludge formation. We are also introducing a treatment system to reduce or eliminate sulphate content. Plans are underway to supply sludge to fertiliser industries for the production of NPK Fertiliser. Moreover, Grasim's Chemicals business is creating applications for liquid byproducts generated from bleaching powder production, offering cost-effective alternatives for textile bleaching and effluent treatment, reducing chlorine recycling costs and enhancing sustainability.

Business Responsibility & Sustainability Report (Contd.)

- 11. If the entity has operations/offices in/around ecologically sensitive areas (such as national parks, wildlife sanctuaries, biosphere reserves, wetlands, biodiversity hotspots, forests, coastal regulation zones etc.) where environmental approvals / clearances are required, please specify details in the following format:**

S. No.	Location of operations/offices	Type of operations	Whether the conditions of environmental approval / clearance are being complied with? (Y/N) If no, the reasons thereof and corrective action taken, if any.
None of the sites are located in ecologically sensitive areas. However, the Company is planning to conduct biodiversity impact assessments for selected sites to identify and mitigate potential impact on biodiversity, if any. Please refer to Biodiversity Policy: https://www.grasim.com/Upload/PDF/biodiversity-policy.pdf			

- 12. Details of environmental impact assessments of projects undertaken by the entity based on applicable laws, in the current financial year:**

Yes, all units operated by Grasim Industries Limited comply with the applicable environmental laws and regulations in their respective regions.

Name and brief details of project	EIA Notification No.	Date	Whether conducted by independent external agency (Yes / No)	Results communicated in public domain (Yes / No)	Relevant Web link
None					

- 13. Is the entity compliant with the applicable environmental law/ regulations/ guidelines in India; such as the Water (Prevention and Control of Pollution) Act, Air (Prevention and Control of Pollution) Act, Environment protection act and rules thereunder (Y/N). If not, provide details of all such non-compliances:**

Yes, all units operated by Grasim Industries Limited comply with the applicable environmental laws and regulations in their respective regions.

S. No.	Specify the law / regulation / guidelines which was not complied with	Provide details of the non-compliance	Any fines / penalties / action taken by regulatory agencies such as pollution control boards or by courts	Corrective action taken, if any
Not Applicable				

LEADERSHIP INDICATORS

- 1. Water withdrawal, consumption, and discharge in areas of water stress (in million cubic meter):**

For each facility / plant located in areas of water stress, provide the following information:

- (i) Name of the area: Following plants fall under the water stress regions as per India Water Tool:

Cellulosic Fibres - Vilayat, Kharach, Nagda, Harihar, Veraval.

Chemicals - Nagda, Veraval, Vilayat, Balabhadrapuram, Ganjam.

Paints - Panipat, Cheyyar, Ludhiana.

Textiles - Malanpur, Kolhapur.

Insulators - Halol.

- (ii) Nature of operations: Manufacturing



(iii) Water withdrawal, consumption and discharge in the following format: (consolidated numbers for units which are present in areas of stress)

Parameter	FY 2024-25	FY 2023-24
Water withdrawal by source (in million cubic meter)		
(i) Surface water	25.38	26.47
(ii) Groundwater	1.38	1.19
(iii) Third party water	12.65	12.22
(iv) Seawater / desalinated water	8.17	1.30
(v) Others	0.03	0.001
Total volume of water withdrawal (in million cubic meter)	47.61	41.18
Total volume of water consumption* (in million cubic meter)	20.01	18.98
Water intensity per rupee of turnover* (Water consumed / turnover) (m ³ / crore INR)	633.21	734.31
Water intensity (optional) – the relevant metric may be selected by the entity	-	-
Water discharge by destination and level of treatment (in million cubic meter)		
(i) Into Surface water		
– No treatment	-	-
– With treatment – Secondary treatment	10.44	10.25
(ii) Into Groundwater		
– No treatment	-	-
– With treatment	-	-
(iii) Into Seawater		
– No treatment	-	-
– With treatment – Secondary treatment	15.81	11.89
(iv) Sent to third-parties		
– No treatment	-	-
– With treatment – Secondary treatment	1.37	0.06
(v) Others		
– No treatment	-	-
– With treatment	-	-
Total water discharged (in million cubic meter)	27.62	22.20

* Water consumption is calculated using GRI formula (Water Consumption = Water Withdrawal - Water Discharge). Basis the revised formula, water consumption number for FY2023-24 has been restated.

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

Yes, reasonable assurance has been carried out by BDO India LLP for FY 2024-25.

2. Please provide details of total Scope 3 emissions & its intensity:

Parameter	Unit	FY 2024-25	FY 2023-24
Total Scope 3 emissions* (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	Million tCO ₂ e	6.17	4.85
Total Scope 3 emissions per rupee of turnover	tCO ₂ e / crore ₹	195.42	187.83
Total Scope 3 emission intensity in terms of physical output	tCO ₂ e / MT	1.85	1.60

*Categories 1, 2, 3, 4, 5, 6, 7 and 9 considered for calculation of scope 3 GHG emissions

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

Yes, limited assurance has been carried out by BDO India LLP for FY 2024-25.

Business Responsibility & Sustainability Report (Contd.)

3. With respect to the ecologically sensitive areas reported at Question 11 of Essential Indicators above, provide details of significant direct & indirect impact of the entity on biodiversity in such areas along-with prevention and remediation activities.

Not Applicable.

4. If the entity has undertaken any specific initiatives or used innovative technology or solutions to improve resource efficiency, or reduce impact due to emissions / effluent discharge / waste generated, please provide details of the same as well as outcome of such initiatives, as per the following format:

S. No.	Initiative undertaken	Details of the initiative (Web-link, if any, may be provided along-with summary)	Outcome of the initiative
1	Reduction in Generation and Higher Utilisation of Brine Sludge	A filter press system was installed to improve sludge separation. Process parameters like slurry dilution and cake washing time were optimised to reduce residual salt. The initiative aimed at enabling reuse of sludge in construction applications	Reduced brine sludge generation; achieved 100% environmental compliance; enabled production of eco-friendly bricks/day, promoting circular economy
2	PAC Sludge Reutilisation	To support our zero waste to landfill objective, we implemented in-house reuse of PAC (Poly Aluminium Chloride) sludge by integrating it into the liquid alum manufacturing process. This eliminated the need for hazardous waste disposal and promoted resource circularity within the plant.	Significantly reduced hazardous waste generation; enabled effective reuse of PAC sludge; advanced progress toward the zero waste to landfill goal
3	Installation of Condensate Polishing Unit Installation	A Condensate Polishing Unit, along with a heat exchanger system, was commissioned to recycle hot condensate into De-Mineralised (DM) water and recover waste heat. The system enhances water recovery and reduces thermal losses.	Achieved daily steam savings, reduced freshwater intake, and improved energy efficiency; supported resource conservation and operational cost optimisation
4	Optimising Yarn Twist for Operational Efficiency	Legacy twist levels of 100 TPM in the VFY manufacturing process were reduced to 65 TPM by modifying gear sets in TFO machines. The optimisation was validated across various deniers without capital investment, aligning twist input with actual downstream requirements to enhance energy and operational efficiency.	Improved energy efficiency and reduced GHG emissions; optimised machine utilisation and reduced operational costs; enhanced product quality with higher premium-grade yield; received external recognition for innovation, sustainability, and operational excellence
5	Enhancing Electrolyser Efficiency through Digital Monitoring	Digital tools such as the Central Manufacturing Cockpit (CMC) and ECOO software were deployed to monitor electrolyser performance critical equipment consuming ~90% of the plant's power. Real-time data, shift-wise tracking, and pressure drop analysis enabled proactive and data-driven operational control.	Improved energy efficiency through reduced electricity consumption; enhanced process visibility and decision-making; strengthened predictive maintenance and operational reliability
6	ETP Revamp for Enhanced Compliance and Sustainability	The Effluent Treatment Plant (ETP) was upgraded to a 12.0 MLD capacity by integrating advanced technologies such as an Equalisation Tank, Flash Mixing and Flocculation Tanks, and a High-Rate Solid Contact Clarifier (HRSCC). These upgrades aimed to handle fluctuating loads and meet stricter discharge norms	Achieved consistent compliance with effluent discharge standards; enhanced treatment capacity and resilience during peak loads; improved effluent quality; reduced environmental impact and improved sustainability performance



5. Does the entity have a business continuity and disaster management plan? Give details in 100 words/ web link.

Yes, Grasim has implemented a comprehensive business continuity and disaster management plan, emphasising operational safety and crisis response across all sites. The strategy is designed to address crises affecting individuals, the environment, or the Company's strategic, financial, or reputational standing, which could arise from various incidents such as negative media, legal challenges, natural disasters, security threats, or health emergencies.

The crisis management plan mobilises experienced leaders and allocates resources to mitigate impacts on people, the environment, shareholders, brand, infrastructure, and reputation. Enhancing emergency readiness, Grasim partners with an external agency to manage Code Red and Call Centre operations, ensuring swift verification and communication during incidents through the Site Incident Command System (ICS).

6. Disclose any significant adverse impact to the environment, arising from the value chain of the entity. What mitigation or adaptation measures have been taken by the entity in this regard.

There is no adverse impact to the environment from our value chain entities.

7. Percentage of value chain partners (by value of business done with such partners) that were assessed for environmental impacts.

100% of our pulp suppliers which accounts for 43% of our total raw material procurement value were assessed for environmental impacts.

8. How many Green Credits have been generated or procured:

a. By the listed entity

Nil

b. By the top ten (in terms of value of purchases and sales, respectively) value chain partners

Not Applicable

Business Responsibility & Sustainability Report (Contd.)

PRINCIPLE 7: Businesses, when engaging in influencing public and regulatory policy, should do so in a manner that is responsible and transparent

Grasim is committed to supporting fair competition and respecting human rights, which are fundamental to our collaborations with trade groups and industry associations. Our interactions with these organisations and government agencies are guided by a strong commitment to transparency and integrity, ensuring that the interests of all stakeholders are thoroughly considered. Through active participation in policy discussions and contributions to legislative frameworks at both national and international levels, Grasim plays a pivotal role in driving industry growth and enhancing the overall economic landscape.



ESSENTIAL INDICATORS

1. a) Number of affiliations with trade and industry chambers/ associations.

Thirty Five (35)

b) List the top 10 trade and industry chambers/ associations (determined based on the total members of such body) the entity is a member of/ affiliated to.

S. No.	Name of the trade and industry chambers/ associations	Reach of trade and industry chambers/ associations (State/National)
1	The Associated Chambers of Commerce and Industry of India (ASSOCHAM)	National
2	India Chemical Council (ICC)	National
3	Federation of Indian Chambers of Commerce and Industry (FICCI)	National
4	Alkali Manufacturer Association of India (AMAI)	National
5	Confederation of Indian Industry (CII)	National
6	Association Of Man-made Fibre Industry Of India (AMFII)	National
7	Manmade and Technical Textiles Export Promotion Council (MATEXIL)	National
8	Indian Paint Association (IPA)	National
9	Indian Wind Turbine Manufacturers Association (IWTMA)	National
10	Indian Technical Textile Association (ITTA)	National

2. Provide details of corrective action taken or underway on any issues related to anti-competitive conduct by the entity, based on adverse orders from regulatory authorities.

No new cases were filed in the current financial year.

Listed below are ongoing cases from the previous years.

Name of Authority	Brief of the case	Corrective action taken
Competition Commission of India	Competition Commission of India (CCI) has passed an order dated 16 th March, 2020 under Section 4 of the Competition Act, 2002, imposing a penalty of ₹301.61 crore related to the cellulosic Staple Fibre turnover.	The Company filed an appeal before the National Company Law Appellate Tribunal (NCLAT)
Competition Commission of India	Without considering that an Appeal is already pending against the aforesaid Order, the CCI passed another Order dated 3 rd June, 2021, levying a penalty of ₹3.49 crore for non-compliance with the Order passed on 16 th March, 2020	The Company filed a Writ Petition before the Hon'ble Delhi High Court against the Order of the CCI.
Competition Commission of India	The CCI has passed another order dated 6 th August 2021 under Section 4 of the Competition Act, 2002. However, because of the penalty already imposed on the Company in a previous order dated 16 th March, 2020, the CCI deemed it appropriate not to impose any further monetary penalty on the Company.	The Company filed an appeal before the National Company Law Appellate Tribunal (NCLAT)



LEADERSHIP INDICATORS

1. Details of public policy positions advocated by the entity:

S. No.	Public policy advocated	Method resort for such advocacy	Whether the information is available in public domain? (Yes/No)	Frequency of review by board (Annually/ Half yearly/ Quarterly/ Other-please specify)	Web Link, if available
1	Draft Explosives Bill, 2024	Suggestions and recommendations to the draft bill submitted to the authority	No	NA	NA
2	Draft Solid Waste Management Rules, 2024	Suggestions and recommendations to the draft bill submitted to the authority	No	NA	NA
3	Draft Remediation of Contaminated Sites Rules, 2024	Suggestions and recommendations to the draft bill submitted to the authority	No	NA	NA
4	Draft guidelines for "Exemption Of Certain Categories Of Industrial Plants From Consent Mechanism - Section 21 and Section 25 of Air and Water Act"	Suggestions and recommendations to the draft bill submitted to the authority	No	NA	NA
5	Decriminalisation of minor offences under Central Acts	Suggestions and recommendations to the draft submitted to CII	No	NA	NA
6	Draft Digital Personal Data Protection Rules, 2025	Suggestions and recommendations to the draft submitted to CII	Yes	NA	https://innovateindia.mygov.in/dpdp-rules-2025/

Business Responsibility & Sustainability Report (Contd.)

PRINCIPLE 8: Businesses should promote inclusive growth and equitable development

Grasim drives sustainable development and enhances the well-being of vulnerable and marginalised communities with an inclusive approach, embedding CSR values within its business objectives. The Company supports initiatives that improve education, healthcare, sustainable livelihoods, infrastructure, and social welfare. Through comprehensive needs assessments for CSR, the Company tailors its efforts to the communities' requirements and refines its products and processes to support the advancement of vulnerable and marginalised groups. Alongside these efforts, Grasim actively works to preserve heritage and culture, ensuring that its development initiatives align with the conservation of traditional values of the local communities. Additionally, Grasim collaborates with businesses and government agencies, reinforcing the social and economic impact of its actions for a broader and more cohesive effect.



ESSENTIAL INDICATORS

1. Details of Social Impact Assessments (SIA) of projects undertaken by the entity based on applicable laws, in the current financial year.

During FY 2024-25, we have not undertaken any projects that require Social Impact Assessments (SIA).

Name and brief details of project	SIA Notification No.	Date of Notification	Whether conducted by independent external agency? (Yes/No)	Results communicated in public domain (Yes / No)	Relevant Web link
Nil					

2. Provide information on project(s) for which ongoing Rehabilitation and Resettlement (R&R) is being undertaken by your entity:

S. No.	Name of the project for which R&R is ongoing	State	District	No. of Project Affected Families (PAFs)	No. of PAFs covered by R&R	Amounts paid PAFs in the FY (in ₹)
Nil						

3. Describe the mechanisms to receive and redress grievances of the community.

Grasim has set up a robust grievance redressal system designed to serve the community, ensuring swift and efficient responses to any complaints, facilitating timely resolutions, and working to prevent future issues. The Company makes a concerted effort to inform community members about the existence of this system and the specific channels available for reporting grievances, promoting awareness and clarity in the process.

Stakeholders can reach out to our Stakeholder Officer (Admin & Liaison Officer), who will then elevate their concerns to the Grievance Committee for appropriate action.

Our Grievance Mechanism Process is a structured 6-step approach designed to address and resolve grievances effectively:

Step 1: Receive Grievance – The initial step involves the receipt of the grievance from the concerned party.

Step 2: Record – Upon receipt, the grievance is formally documented for tracking and reference.

Step 3: Screen – The documented grievance is then screened for relevance and urgency.



Step 4: Investigate – A thorough investigation is conducted to gather facts and understand the grievance.

Step 5: Act – Appropriate actions are taken based on the findings of the investigation.

Step 6: Follow up and close out – The final step includes following up to ensure the resolution is satisfactory and formally closing out the grievance.

Formal grievances at Grasim are recorded in the Grievance Register, and all related documentation is carefully maintained for record-keeping. Following the submission of a grievance, an acknowledgement is issued within five working days. The Stakeholder Officer, together with employees, takes on the task of investigating the issue, which may include site visits, consultations, and meticulous record-keeping. After analysing the collected information, the Stakeholder Officer formulates an action plan, assigns responsibilities, oversees the progress, and updates the external stakeholder upon satisfactory resolution of the grievance. To ensure continued satisfaction and to gather feedback on the process, the Stakeholder Officer follows up with the external stakeholder three weeks after the resolution.

4. Percentage of input material (inputs to total inputs by value) sourced from suppliers*:

	FY 2024-25	FY 2023-24
Directly sourced from MSMEs/ Small producers	16%	15%
Directly from within India	58%	50%

*Reasonable assurance has been carried out by BDO India LLP for FY 2024-25.

5. Job creation in smaller towns* – Disclose wages paid to persons employed (including employees or workers employed on a permanent or non-permanent / on contract basis) in the following locations, as % of total wage cost.

Location	FY 2024-25	FY 2023-24
Rural	19%	15%
Semi urban	4%	3%
Urban	41%	61%
Metropolitan	36%	21%

*Reasonable assurance has been carried out by BDO India LLP for FY 2024-25.

LEADERSHIP INDICATORS

1. Provide details of actions taken to mitigate any negative social impacts identified in the Social Impact Assessments (Reference: Question 1 of Essential Indicators above):

Details of negative social impact identified	Corrective action taken
Not Applicable	

2. Provide the following information on CSR projects undertaken by your entity in designated aspirational districts as identified by government bodies:

S. No.	State	Aspirational District	Amount Spent (in INR)
1.	Jharkhand	Palamu	₹114.39 lakh

Business Responsibility & Sustainability Report (Contd.)

3. (a) Do you have a preferential procurement policy where you give preference to purchase from suppliers comprising marginalised/vulnerable groups? (Yes/No)

Yes, Grasim's Responsible Supply Chain Policy focuses on enhancing the capabilities of suppliers from marginalised/vulnerable groups, integrating them as business partners. The policy advocates for the growth and development of these suppliers alongside promoting local procurement. It also supports small and medium enterprises (MSMEs), encouraging their active development and involvement in business activities.

For detailed information on our responsible supply chain policy, please refer to the following web link: <https://www.grasim.com/Upload/PDF/responsible-supply-chain-policy.pdf>

(b) From which marginalised/vulnerable groups do you procure?

We procure from marginalised and vulnerable groups including women-led enterprises, self-help groups, tribal communities, and artisans from rural and underdeveloped regions.

(c) What percentage of total procurement (by value) does it constitute?

0.03%

4. Details of the benefits derived and shared from the intellectual properties owned or acquired by your entity (in the current financial year), based on traditional knowledge:

S. No.	Intellectual Property based on traditional knowledge	Owned/ Acquired (Yes/No)	Benefit shared (Yes/No)	Basis of calculating of benefits share
Not Applicable				

5. Details of corrective actions taken or underway, based on any adverse order in intellectual property related disputes wherein usage of traditional knowledge is involved.

Name of authority	Brief of the case	Corrective action taken
Not Applicable		

6. Details of beneficiaries of CSR Projects:

S. No.	CSR Project	No of persons benefited from CSR Projects	% of beneficiaries from vulnerable and marginalised groups
1	Healthcare Initiatives	7,99,954	32%
2	Education Initiatives	1,22,476	26%
3	Sustainable Livelihood Initiatives	95,797	35%
4	Infrastructural Initiatives	1,22,791	50%
5	Social Welfare Initiatives	1,05,098	42%



PRINCIPLE 9: Businesses should engage with and provide value to their consumers in a responsible manner

Grasim has established stringent policies and safeguards to ensure the privacy and protection of stakeholder information. Clear protocols are in place to manage information securely across digital and physical channels. The Company also provides accurate product-related information through appropriate labelling, ensuring consumers can make informed choices. Efforts are made to ensure that marketing, communication, and packaging comply with applicable standards, reflecting our commitment to responsible consumer engagement and product transparency.



ESSENTIAL INDICATORS

1. Describe the mechanisms in place to receive and respond to consumer complaints and feedback.

The Company has implemented a systematic approach to efficiently receive and resolve customer complaints and feedback. This process is closely monitored to ensure that all issues are addressed effectively. The escalation procedure is tailored to fit the specific needs of each business area, taking into account both B2B and B2C interactions.

Overview of Company's mechanism:

Step 1: Complaint registration – Customers may report issues through the online Customer Relationship Management system, which is managed by the Customer Care Services team and subsequently relayed to the marketing team. Alternatively, complaints can be submitted via email.

Step 2: Process input – The marketing department gathers comprehensive details of the customer's complaint, including the product name, batch number, and the type of issue.

Step 3: Process interface – Marketing personnel record the complaint in the Customer Relationship Management (CRM) system and create a unique Ticket ID. The marketing team informs the appropriate departments about the complaint details. Legitimate complaints are thoroughly analysed to determine the root cause, which is then escalated for additional action. The detailed analysis of the root cause and the corrective actions taken are shared with the customer. The time taken to respond varies based on the customer's location as mentioned below:

- a. Domestic customers: Concerns about quality, packaging, documentation, and labelling are addressed within 15 days, while issues regarding weight shortages and product application are resolved within 60 days.
- b. Export customers: Concerns about quality, packaging, documentation, and labelling are addressed within 30 days, while issues regarding weight shortages and product application are resolved within 60 days.

If a complaint is found to be without merit, the customer is informed of this outcome. If it is practical, the Quality Assurance (QA) department may suggest a visit to the customer's site to further understand and confirm the validity of the complaint.

Step 4: Feedback – The Company offers an online feedback option through Mission Happiness, a portal that is frequently used by customers.

2. Turnover of products and/ services as a percentage of turnover from all products/service that carry information about:

	As a percentage to total turnover
Environment and Social parameters relevant to the product	100%
Safe and responsible usage	100%
Recycling and/or safe disposal	100%

Note: All products contain above information as required under applicable laws.

Business Responsibility & Sustainability Report (Contd.)

3. Number of consumer complaints in respect of the following:

Category	FY 2024-25			FY 2023-24		
	Received during the year	Pending resolution at the end of year	Remarks	Received during the year	Pending resolution at the end of year	Remarks
Data privacy	Nil	Nil	-	Nil	Nil	-
Advertising	Nil	Nil	-	Nil	Nil	-
Cyber-security	Nil	Nil	-	Nil	Nil	-
Delivery of essential services	Nil	Nil	-	Nil	Nil	-
Restrictive Trade Practices	Nil	Nil	-	Nil	Nil	-
Unfair Trade Practices	Nil	Nil	-	Nil	Nil	-
Others	5,345	2,265	-	433	88	-

4. Details of instances of product recalls on account of safety issues:

	Number	Reason for recall
Voluntary recalls	Nil	Not applicable
Forced recalls	Nil	Not applicable

5. Does the entity have a framework/ policy on cyber security and risks related to data privacy? (Yes/No) If available, provide a web-link of the policy.

Yes, the Company upholds a comprehensive policy and system dedicated to managing risks related to data security and privacy, ensuring the protection and accuracy of data while adhering to legal requirements. The policy details procedures for the use of Company assets, organising and sharing information, creating data backups, securing assets, guidelines for software and internet use, and handling emails, among other aspects. The Company prioritises the implementation of excellent practices to achieve the highest level of cybersecurity within the workspace.

For detailed information on our information security policy, please refer to the following web link: <https://www.grasim.com/Upload/PDF/information-security-policy.pdf>

6. Provide details of any corrective actions taken or underway on issues relating to advertising, and delivery of essential services; cyber security and data privacy of customers; re-occurrence of instances of product recalls; penalty / action taken by regulatory authorities on safety of products / services.

No incident was reported in the financial year.

7. Provide the following information relating to data breaches:

a. Number of instances of data breaches*

Zero

b. Percentage of data breaches involving personally identifiable information of customers

Not Applicable

c. Impact, if any, of the data breaches

Not Applicable

*Reasonable assurance has been carried out by BDO India LLP for FY 2024-25.

LEADERSHIP INDICATORS

1. Channels / platforms where information on products and services of the entity can be accessed (provide web link, if available).

We have a range of websites that cater to different aspects of information on products and services, which are listed below:

Corporate: Grasim Industries Limited: www.grasim.com

Cellulosic Fibres: Birla Cellulose: www.birlacellulose.com; Navyasa: <https://navyasabyliva.in>; LIVA: www.livabybirlacellulose.com; Birla Purocel: www.purocel.com; Birla EcoSodium: www.birlaecosodium.com



Chemicals: Aditya Birla Chemicals: www.adityabirlachemicals.com; Specialty Chemicals: www.abg-am.com

Building Materials: Paints - Birla Opus: <https://www.birlaopus.com/>; B2B E-commerce - Birla

Pivot: <https://www.birlapivot.com/>

Others:

Textiles: Jayashree Textiles: <https://www.jayashree-grasim.com>;

Grasim Premium Fabrics: www.grasimpremiumfabrics.com; Linen Club: <https://www.linenclub.com>

Insulators: <https://adityabirlainsulators.com>

2. Steps taken to inform and educate consumers about safe and responsible usage of products and/or services.

The Company has implemented a multifaceted approach to ensure that product information is communicated to consumers with clarity. This approach includes the strategic use of bale packaging, informative hang tags, and the explicit listing of detailed product specifications on the products as well as the Company's website. Grasim promotes responsible product stewardship, as demonstrated by the provision of a safety information sheet accompanying each product. Additionally, the Company ensures the availability of comprehensive Material Safety Data Sheets (MSDS) for its products.

3. Mechanisms in place to inform consumers of any risk of disruption/discontinuation of essential services.

As a responsible company, Grasim has set up strong systems to inform customers about potential risks related to interruption of important services. These systems include quick updates through the Company's official website, social media, and dedicated customer service phone lines. Grasim makes sure that customers are given early notices about any planned maintenance, updates, or potential disruptions that might affect their use of key services.

4. Does the entity display product information on the product over and above what is mandated as per local laws? (Yes/No/Not Applicable)? If yes, provide details in brief. Did your entity carry out any survey with regard to consumer satisfaction relating to the major products / services of the entity, significant locations of operation of the entity or the entity as a whole? (Yes/No)

Yes, Grasim goes above and beyond regulatory requirements by mentioning additional product information to benefit customers.

Grasim strives to build consumer trust by providing the essential information needed for well-informed decisions when purchasing and using its products. We enhance product transparency through initiatives like GreenTrack, a blockchain-powered traceability platform created by Birla Cellulose for the Cellulosic Fibres (CSF) business. This platform enables consumers and brands to trace the entire textile value chain in real-time simply by scanning a QR code. Registered partners continuously update the movement of products across the value chain, ensuring transparency from the plantation to the end consumer. GreenTrack empowers consumers to make educated choices by revealing the full sustainability journey of each product.

Grasim conducts systematic surveys to assess customer satisfaction across its products, operational sites, and overall Company performance, using Net Promoter Scores (NPS) as a measure. These insights help Grasim understand evolving customer needs and make informed decisions to enhance offerings and improve the overall customer experience.

Net Promoter Scores for Grasim's business segments are as follows:

Chlor-Alkali: 67%

Specialty Chemicals: 65%

B2B E-commerce: 48%

Cellulosic Staple Fibre: 50%

Insulators: 89%